

Chapter 1: The Nature of Organizations

1. Concept of Organization

- *Organization* → A structured social unit where people work together to achieve a *common goal*.
- *Key Ingredients* [People] + [Common Goal] + [Joint Effort] = Organization
(A family, tribe, or ethnic group is not an organization.)

Formal Definitions

Duncan: "A collection of interacting and interdependent individuals who work toward common goals and whose relationships are determined according to a certain structure."
Sherlekar & Sherlekar: "A mechanism or basic framework enabling persons to work together effectively and achieve set goals through integrated group effort."

1.1 Characteristics of Organization - PACED

- *Human Association* → People are at the core.
- *Common Goal* → The unifying purpose (profit, service, welfare).
- *Division of Work* → Large tasks broken into specialized jobs → efficiency.
- *Hierarchy of Authority* → Chain of command; decision-making power flows from top to bottom.
- *Flexibility (Environmental Adaptation)* → Ability to adjust plans when external factors (technology, market) change.

1.2 Types of Organizations (Based on Purpose)

Type	Main Objective	Example
Business Organization	Profit for owners/shareholders	Surya Nepal, Buddha Air
Non-profit Social Organization	Service to clients/community	Tribhuvan University, Nepal Red Cross
Cooperative Organization	Mutual benefit of members, reduce competition	Savings & Credit Cooperatives
Government Organization	Public service, regulation, welfare	Ministries, Police, Army
International Organization	Collective welfare of member nations	SAARC, IMF, UNDP

2. Organizational Goals: Concept, Purposes, and Types

2.1 Concept of Goal

- *Goal* → A desired future state the organization attempts to realize. Goals are the *reason* an organization exists; they answer "Where do we want to go?"

Etzioni: "A desired state of affairs that organizations attempt to realize."
Koontz & Weihrich: "The ends towards which activity is aimed — the results to be achieved."

2.2 Purposes of Goals (Why set goals?)

1. *Provide Guideline & Direction* → Shows where to focus all activities.
2. *Develop Good Planning* → Knowing the target helps design the action steps.
3. *Motivate Employees* → Clear expectations create willingness to perform.
4. *Optimal Resource Utilization* → Prevents waste; resources aligned with priorities.
5. *Evaluate & Control* → Goals become the *standard* against which actual performance is measured.

2.3 Types of Goals

A) By Level

- *Corporate Goals* (Top Management) → Broad, organization-wide. Found in Mission & Strategy.
- *Tactical Goals* (Middle Management) → Department-level targets.
Example: "Increase annual sales by 20%."
- *Operational Goals* (Lower Management) → Unit/section-level, very specific and time-bound.
Example: "Produce 100 units of product each day."

B) By Time Frame

- *Long-term*: 5 – 10 years
- *Mid-term*: 2 – 4 years

- *Short-term*: ≤ 1 year

3. Features of Effective Organizational Goals (*Think SMART*)

- *Specific* → Precise and clearly defined.
Example: "Achieve 10% profit on sales" — *not* "maximise profit."
- *Measurable* → Quantifiable in quality or quantity so progress can be tracked.
- *Acceptable* → Those responsible for achieving goals must agree with them → requires participation.
- *Realistic* → Achievable with available resources. Unrealistic goals cause frustration and failure.
- *Time-bound* → Has a clear deadline. Creates urgency and a yardstick for performance.

4. Goal Formulation: Approaches and Process (TD, BU, MBO)

4.1 Approaches to Goal Formulation

- *Top-down Approach* (Directive)
Top executives develop goals → Disseminate to middle/lower levels → Implementation.
Use: Fast, relies on top expertise; lower commitment risk.
- *Bottom-up Approach* (Participatory)
Lower levels draft goals → Top management revises and approves → Final goals sent back down.
Use: High employee commitment; time-consuming.
- *Management by Objectives* — *MBO* (Peter Drucker, 1960)
Superiors and subordinates *jointly* set goals. Each individual's major area of responsibility is defined in terms of goals.
Advantage: Creates strong ownership and motivation.

4.2 Goal Formation Process (*Step-by-step*) (*G, E, L, Brainstorm, Consensus, A*)

1. *Assign a Group* → Include managers from *all levels* (top expertise + lower-level realism).
2. *Environmental Scanning* → Analyze *internal* (strengths/weaknesses) and *external* (political, tech, socio-cultural) factors.
3. *Determine & List Potential Goals* → Based on scanning results.
4. *Brainstorming* → Deeply discuss each potential goal's relevancy, strengths, and weaknesses.
5. *Reach Consensus* → Select the goal with majority acceptance → avoids future conflict.
6. *Determine Major Areas of Responsibility* → Assign specific tasks and authority-responsibility relationships.

5. Problems of Goal Formulation

- *Improper Reward System* → If hitting the goal doesn't lead to reward, motivation drops.
- *Environmental Constraints* → Hard to predict future changes exactly → unrealistic, faulty goals.
- *Unwillingness of Managers* → Lack of knowledge/confidence causes reluctance to participate.
- *Resistance to Change* → Fear of job loss or new technology; employees try to maintain *status quo*.
- *Resource Constraints* → Inadequate funds, people, or materials → goals become wishful thinking.

6. Goal Succession and Goal Displacement

6.1 Goal Succession (*Intentional modification*)

- *Definition* → A deliberate review and alteration of existing goals.
- *When necessary*:
 - Original goal is *already achieved*.
 - *External environment* changes significantly.
 - Existing goal proved *unachievable*.
- *Example* → A pharmaceutical company achieves its polio vaccine target → *goal succession*: shifting focus to a combined vaccine for multiple diseases.

6.2 Goal Displacement (*Unintentional shift*)

- *Definition* → Organizational energy and resources move away from original goals *without a conscious decision*.
- *Example* → A company's original goal was to be a leading *manufacturer*. Due to severe competition, it gradually pours all resources into *trading* — manufacturing is sidelined. That is goal displacement.

- **Reasons:**
 - *Goal Conflict* → Individual goals clash with organizational goals; employees pursue personal interests.
 - *Abstract Goals* → Vague goals lead to inconsistent decisions and drift.
 - *Employee Attitude* → Uncooperative staff or union pressure weakens focus on original aims.

7. Changing Perspectives of Organization (M,O, P, C, L)

Views on what an organization *is* have evolved over time.

- *a) Mechanistic Viewpoint - classical theory adapts this*

Organization = *Machine*.

- Fixed working hours, rigid schedules, detailed job descriptions, tight control systems.
- Ignores human creativity and imagination.
- Works best in *stable environments* and for routine/blue-collar work (e.g., classic factory assembly line).
- *b) Organization as an Open System - non classical theory*

Organization = *Living organism* interacting with its environment.

- [Inputs (students, books, money)] → [Transformation (lectures, study, research)] → [Outputs (educated, disciplined graduates)].
- All departments act as coordinated sub-systems to achieve the whole organization's objectives.
- *c) Organization as a Political System*
- A complex arena of *coalitions* with different interests, beliefs, and values.
- Groups constantly compete for *scarce resources* and power.
- Understanding internal politics is key to predicting behaviour.
- *d) Organization as Culture*
- Behaviour and decisions are shaped by shared *beliefs, rituals, and values* (basic assumptions).
- Culture acts as a powerful, often invisible, force guiding daily actions.
- *e) Organization as a Learning System*
- A *living, thinking* open system that continuously learns from history, experience, and the environment.
- Adapts by developing new capabilities and sharing knowledge.
- *Learning competency* is critical for long-term survival and strategic planning.

Practice Questions

1. Define organizational goals. How are organizational goals formulated? **(Exam years, 10 marks)**
2. Explain the goal succession and displacement. **(2079, 5 marks)**
3. Define organization. Discuss the changing perspectives on organization in present day business operation. **(2081, 10 marks)**
4. State and explain the problems of goal formulation. **(2082, 5 marks)**
5. Discuss the challenging perspectives of organization in present business operation. **(Model, 10 marks)**
6. What are organizational goals? How are organizational goals formulated?
7. Discuss the disadvantages of multinational companies.
8. Describe the hierarchy of needs theory.
9. Write the characteristics of groups.

Chapter 2: Introduction to Management

1. Definition of Management

- **Management** → A set of activities (*planning, organizing, leading, controlling*) aimed at organizational resources to achieve goals *effectively* and *efficiently* in a changing environment.

Griffin: "Management is a set of activities... directed at an organization's resources... with the aim of achieving organizational goals *effectively* and *efficiently*."

Sherlekar & Sherlekar: "Management is a process involving coordination of human and material resources through the functions of planning, organizing, staffing, leading and controlling to accomplish stated objectives."

Management = *What managers do* to convert resources into results.

2. Characteristics of Management (mgmt is all about accomplishing **MISSIONS**)

- **Universal** (*needed everywhere*) → Needed in all types of organizations (business, hospital, school, government).
[Example: A small local shop needs management just like a large multinational company.]
- **Goal-directed** (*success through objectives*) → Exists to achieve predetermined objectives. Success is measured by goal attainment.
- **Continuous Process** (*ongoing cycle*) → An ongoing cycle; does not stop as long as the organization exists.
Example: Production, sales, and accounting activities run continuously → management never pauses.
- **Integrating Process** → Brings together *men, machine, material, and money* and coordinates them into a unified whole.
- **Intangible** → Cannot be seen, but felt through order, discipline, and results.
[Visible signs: rules, output, work climate.]
- **Multi-disciplinary** → Draws knowledge from Economics, Psychology, Sociology, Engineering, Mathematics, etc.
- **Social Process** → Primarily about handling people, managing relationships, and satisfying human needs at work.
- **Situational** → No single "best way" to manage. Action depends on the specific situation.

2.1 Management as Science and Art

- **As a Science**
 - Body of systematized knowledge (concepts, principles, theories).
 - Establishes cause-effect relationships.
 - Principles are verifiable and have universal application.
 - **Limitation**: Human behavior prevents exact prediction → not a *pure* science.
- **As an Art**
 - Application of personal skill and creativity to get results.
 - Improves with practice; no one "best" way.
 - *Example*: Like painting, managing gets better the more you do it.
- **Conclusion**: Management is both a science (knowing *why*) and an art (knowing *how*).

2.2 Management as a Profession

- **Profession** requires: specialized knowledge, formal education, code of conduct, service motive.
- **Management today** meets most criteria:
 - Formal management education (MBA, BBA).
 - Professional bodies (e.g., American Management Association, All India Management Association).
 - Evolving ethical codes.
 - Growing social responsibility.

3. Principles of Management — Henry Fayol's 14 Principles (**DUO FACED ISSUES**)

Use as general guidelines for managerial decision-making.

1. **Division of Work** → Specialization increases efficiency.
[Example: In a restaurant, one chef handles grilling, another salads — each becomes faster and more precise.]
2. **Authority and Responsibility** → Two sides of the same coin. Give authority equal to responsibility.
[If a supervisor is responsible for meeting a deadline, he must have the authority to assign overtime.]
3. **Discipline** → Obedience, sincerity, respect for rules. Best achieved through good leadership, not just punishment.

4. *Unity of Command* → One subordinate receives orders from *only one boss*. Violation causes confusion and diluted accountability.
[Example: A salesperson should report to only one sales manager, not two.]
 5. *Unity of Direction* → One head and one plan for a group of activities having the same objective. Ensures coordinated effort.
 6. *Subordination of Individual Interests to General Interests* → Organizational goals come before personal goals.
Example: An employee must prioritise the company's project deadline over personal leisure.
 7. *Fair Remuneration* → Pay should be just and satisfactory to both employee and employer. Reduces conflict.
 8. *Centralization and Decentralization* → Balance power at the centre with delegated authority. The degree depends on the situation and capacity of subordinates.
 9. *Scalar Chain* → The formal line of authority from top to bottom. Can be "short-circuited" (gang plank) in emergencies for faster communication, keeping superiors informed.
 10. *Order* → **"A place for everything and everything in its place."** Also, right person in the right job.
[Example: Tools arranged systematically in a workshop; the accountant placed in finance, not marketing.]
 11. *Equity* → Kindness + justice. Treat employees fairly without discrimination (caste, gender, religion). Builds loyalty.
 12. *Stability of Tenure of Personnel* → Long-term employment security. Frequent turnover harms efficiency and morale.
[Example: A software firm retaining skilled developers for years → builds deep product knowledge.]
 13. *Initiative* → Encourage employees to suggest new ideas and better methods. Boosts creativity and ownership.
 14. *Esprit de Corps* (Spirit of Co-operation) → Promote team spirit and unity. "Union is strength."
Means: frequent communication, appreciation, and minimizing conflict.
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4. Process and Functions of Management (P, O, S, D, Coord, Contr)

Management is a continuous chain of interrelated functions:

1. *Planning (5w1h)* → Deciding in advance: what, when, how, who, where.
 - Involves goal setting, forecasting, and choosing the best course of action.
 - *Example:* A company plans to launch a new product by December — sets production timeline, budget, and marketing channels.
 2. *Organising* → Arranging tasks, resources, and people into a structure.
 - Defines authority-responsibility relationships, creates departments.
 - *Example:* After planning, the firm sets up a new product development department, assigns a project head, and allocates budget.
 3. *Staffing* → Filling positions with the right people and keeping them competent.
 - Includes: recruitment, selection, training, remuneration, performance appraisal.
 - *Example:* Hiring design engineers, training them on new software.
 4. *Directing* → Guiding, supervising, motivating, and leading subordinates.
 - Includes effective communication and command without resentment.
 - *Example:* A manager explains the vision, gives clear instructions, and inspires the team to meet the product launch deadline.
 5. *Coordinating* → Harmonising all activities and efforts to avoid gaps or overlaps.
 - Ensures every department works like organs of one body.
 - *Example:* The production, sales, and finance departments sync their schedules so the product is manufactured, funded, and sold on time.
 6. *Controlling* → Measuring actual performance against standards and correcting deviations.
 - Steps: set standards → measure → compare → take corrective action.
 - *Example:* Quality checks during production ensure the product meets safety standards; if not, process is adjusted.
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5. Managerial Hierarchy & Types of Managers

5.1 Levels of Management (T — M — L)

- *Top-Level Management* (Board of Directors, CEO, President, General Manager)
 - Sets overall objectives, strategies, policies.
 - Exercises overall control.
- *Middle-Level Management* (Department heads: Production Manager, Sales Manager, Finance Manager)
 - Translates top-level goals into departmental targets.
 - Coordinates and implements plans within their function.

- **Lower-Level Management** (Foremen, Supervisors)
 - Directly oversee operative workers.
 - Ensure daily work is done correctly and on time.

Each level is subordinate to the one above.

5.2 Types of Managers (by Scope)

- **Functional Managers** → Responsible for a specific department/function.
[Example: Marketing Manager, Human Resource Manager.]
- **General Managers** → Oversee multiple functions or a whole independent unit (e.g., a branch or division).
[Example: Plant Manager overseeing production, finance, and HR within a factory.]

6. Managerial Skills — Katz's Model (tech, human, conceptual, design skills)

Four essential skills, with importance varying by level:

- **Technical Skill** Most important at Lower Level → Proficiency in specific methods, tools, techniques.
[Example: Accountant using spreadsheet software, mechanic using diagnostic equipment.]
- **Human Skill** Equally important at all Levels → Ability to work with, understand, and motivate people; build cooperation.
[Example: Resolving a conflict between team members, listening actively.]
- **Conceptual Skill** Most important at Top Level → Seeing the "big picture", thinking strategically, understanding how the whole organisation fits together.
[Example: CEO envisioning how a new technology trend might reshape the industry.]
- **Design Skill** Critical at Upper Levels → Ability to find practical solutions to problems, not just spot them.
[Example: Designing a new workflow to cut costs by 15% instead of just noting that costs are high.]

7. Managerial Roles — Mintzberg's 10 Roles

Grouped into three categories: Interpersonal, Informational, Decisional.

A. Interpersonal Roles (arise from formal authority) - **FaLL into relations**

- **Figurehead** → Symbolic duties: attending ceremonies, signing documents.
[Example: Plant manager giving awards at the annual function.]
- **Leader** → Motivating, training, staffing, guiding subordinates.
- **Liaison** → Building external relationships with other organizations, government, industry groups.
[Example: Meeting officials of a partner firm to discuss collaboration.]

B. Informational Roles (processing information) - **MDS**

- **Monitor** → Constantly scanning environment for useful information.
[Example: Reading market reports, competitor analysis.]
- **Disseminator** → Sharing collected information with subordinates.
- **Spokesperson** → Transmitting information to outsiders.
[Example: Press conference announcing quarterly results.]

C. Decisional Roles (making tough choices like **NERD**)

- **Entrepreneur** → Initiating improvement projects, innovation.
[Example: Launching a new digital service to capture online market.]
- **Disturbance Handler** → Taking corrective action during crises.
[Example: Resolving a sudden strike, handling a product recall.]
- **Resource Allocator** → Distributing human, financial, material resources.
- **Negotiator** → Bargaining with suppliers, unions, dealers.
[Example: Negotiating a long-term raw material contract at lower price.]

8. Emerging Challenges for Management (globalization, tech, QA and productivity)

- **Globalisation**
 - World → "Global village". Free flow of goods, services, ideas across borders.
 - Increased competition (WTO, regional trade pacts) → managers must think globally, adapt to diverse cultures and regulations.

[Example: A Nepali handicraft firm now competes with international online sellers; manager must adopt e-commerce and global logistics.]

- **Technology**

- Rapid change in computers, automation, data processing.
- Alters planning, decision-making, control, and communication.
- Managers must continuously update technological capabilities and foresee disruptions.

[Example: A bank manager must lead the shift to mobile banking and cyber-security.]

- **Quality Assurance and Productivity**

- **Quality** = ability to satisfy customer needs. Rising expectations force continuous improvement.
- **TQM** (Total Quality Management) → involves everyone – from suppliers to customers – in improvement.
- **Productivity** → doing more with less, eliminating material/time/effort waste.

[Example: A garment factory uses lean manufacturing to reduce fabric waste and improve stitching accuracy, thereby raising both quality and productivity.]

Practice Questions

1. State and explain the emerging challenges faced by managers while managing organizations. **(Exam years, 10 marks)**
2. Explain the different skills required for managers. **(2078, 5 marks)**
3. What is management? Describe the principles of management. **(2080, 10 marks)**
4. State and explain the major roles of IT manager in an organization. **(2081, 10 marks)**
5. Define management. Describe the functions of management. **(2082, 10 marks)**
6. Define organizational goals. How are organizational goals formulated?

Chapter 3: Evolution of Management Thought

1. Introduction

- *Management Theory* → A lens to understand organisational structure, behaviour, and performance. Helps managers ask *why* and *how* an organisation works.
 - Evolution grouped into three broad schools:
 - *Classical Theory* → Efficiency, structure, formal rules.
 - *Neo-Classical Theory* → Human factor, relationships, behaviour.
 - *Modern Theory* → Systems, contingencies, quantitative tools.
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2. Classical Theory of Management (organization as machine) - Taylor, Fayol, Weber.

Focus (efficiency and output) → Organisation structure, scientific methods, formal principles.

2.1 Scientific Management — F.W. Taylor (*Taylorism*) - one best way focus

- *Goal* → Improve productivity through scientific, research-backed methods.
- *Four Principles*:
 1. *Science, not rule-of-thumb* → Develop a standard method for each task.
 2. *Scientific selection & training* → Choose workers scientifically, then train and develop them.
 3. *Co-operation* → Management and workers heartily cooperate to ensure work follows the science.
 4. *Equal division of work & responsibility* → Management takes work it's better fitted for (planning, supervision); workers focus on execution.
- *Example* → Instead of letting each worker decide their own way to shovel coal, Taylor's method determined the optimal shovel size, movements, and rest periods — output jumped significantly.

2.2 Administrative Management — Henry Fayol (*Fayolism*) - overall structure focus

- *Focus* → Managerial functions and broad principles for the whole organisation.
- **Five Functions** (covered in Chapter 2) → Planning, Organising, Commanding, Co-ordinating, Controlling.
- **14 Principles** (covered in Chapter 2): Division of work, Authority-Responsibility, Discipline, Unity of Command, Unity of Direction, Subordination of individual interest, Remuneration, Centralisation, Scalar Chain, Order, Equity, Stability, Initiative, Esprit de Corps.

2.3 Bureaucracy — Max Weber - strict hierarchy focus

- *Concept* → Ideal organisation based on *legal-rational authority*.
 - *Features*:
 - Clear division of labour.
 - Hierarchical structure.
 - Formal rules & procedures.
 - Impersonal relationships.
 - Employment based on technical qualifications.
 - *Example* → Government civil service: positions, promotions, and duties defined by written rules, not personal favours.
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2.4 Limitations of Classical Theory

- *Ignores human factor* → Treats workers as machines; no attention to social/psychological needs.
 - *Closed system view* → Assumes organisation is isolated from its external environment.
 - *Oversimplified motivation* → Relies solely on economic rewards; overlooks non-monetary motivators (recognition, belonging).
 - *Based on limited observations* → Principles derived from managerial experience, not rigorous research.
 - *Ambiguous & contradictory principles* → For example, Unity of Command vs. Specialist advice.
 - *Excessive rigidity* → Strict adherence to rules kills individual initiative and creativity.
 - *Example of limitation* → A factory strictly following Taylor's stop-watch methods may face worker resistance and strikes because it ignores fatigue and monotony.
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3. Neo-Classical Theory (Human Relations & Behavioural Science theory)

Focus people and motivation (*worker satisfaction*)

Shift → From "organisation as a machine" to "**organisation as a social system**".

3.1 Human Relations Theory — Elton Mayo (*Hawthorne Studies*) - employees work harder when they feel valued, noticed.

- *Origin* → Series of experiments at Western Electric's Hawthorne plant.
- *Key Findings*:
 - *Social factors* (group belonging, attention, recognition) significantly affect productivity.
 - *Informal groups* exist within formal structures and influence behaviour.
 - *Psychological & social needs* matter as much as economic incentives.
 - Workers respond positively when managers show concern for their well-being — *Hawthorne Effect*.
- *Example* → When lighting was improved for a test group, output rose; but it also rose for the control group because workers felt special just by being part of the study.

3.2 Behavioural Science Theory

- *Broader* → Draws on psychology, sociology, anthropology.
- *Key Contributor* — *Abraham Maslow: Hierarchy of Needs*.
 - Physiological → Safety → Social → Esteem → Self-actualisation.
 - Managers must address the level of need currently most pressing for an employee.
- *Other contributors*: Douglas McGregor (Theory X & Theory Y), Frederick Herzberg (Two-factor theory).
- *Core Ideas*:
 - Motivation is complex; no single formula.
 - Reconciliation needed between individual goals and organisational goals.
 - Teamwork and participation boost commitment.

3.3 Contribution & Limitation of Neo-Classical Theory

Contribution:

- Brought the *human element* to centre stage.
- Recognised the role of informal organisation, leadership, communication, and participation.
- Paved the way for modern HR practices.

Limitation:

- Sometimes seen merely as "classical theory with human insights attached".
- Overemphasis on human relations can lead to neglect of structure and productivity.
- Does not provide a complete framework for complex, dynamic environments — later addressed by contingency theory.

4. Modern Management Theories (*Focus adaptability to changes and systems*) - quantitative, system, contingency (it depends), decision

4.1 Quantitative Approach (Management Science)

Focus → Apply mathematical and statistical methods to solve management problems.

- *Branches*:
 - *Management Science*: Uses models like PERT, CPM, linear programming, simulation for planning and decision-making.
 - *Example*: CPM (Critical Path Method) used to plan a construction project — identifies the longest stretch of dependent activities and optimises timeline.
 - *Operations Management*: Focuses on efficient production processes, quality control, forecasting, inventory management.
 - *Example*: A restaurant uses queuing theory to determine how many servers are needed during peak hours to minimise customer wait time.
 - *Management Information System (MIS)*: Collects, stores real-time data; enables managers to monitor performance, generate reports, and make informed decisions.
 - *Example*: Dashboard showing live sales data, inventory levels, and staff productivity.

4.2 System Theory

Core Idea → Organisation as an *open system* made of interdependent parts. Interconnected like change in one dept impacts every other dept.

- *Components*:
 - *Inputs* → Raw materials, capital, human resources, information.
 - *Transformation Process* → Production, operations, employee activities.
 - *Outputs* → Products, services, profits, wages.
 - *Feedback* → Information on outputs used to adjust inputs/processes.
- *Key Insight* → **Change in one subsystem affects others. Managers must see the whole, not fragments.**

- *Example* → A dip in product quality (output) triggers feedback; investigation reveals raw material defect (input) → purchasing department adjusts supplier criteria.

4.3 Contingency Theory

Core Idea → **There is no single best way to manage. The optimal management style depends on the situation.**

- *Variables*: Organisation size, technology, environmental uncertainty, task routineness, individual differences.
- *Manager's task* → Diagnose the situation and choose the most fitting approach.
- *Example*:
 - A stable manufacturing unit may do well with a mechanistic, rule-based structure.
 - A creative advertising agency in a fast-changing market thrives with an organic, flexible, participative style.
- *Difference from earlier theories* → Replaces universal principles with "It depends."

4.4 Decision Theory

Core Idea → Management is essentially *decision-making*. The organisation is viewed as a decision-making unit.

- *Key Thinker*: Herbert A. Simon.
- *Concepts*:
 - *Rational decision-making model*: Identify problem → generate alternatives → evaluate → choose optimal solution.
 - *Bounded Rationality*: Humans have limited information, time, and cognitive capacity. They seek *satisfactory* rather than *optimal* decisions — "satisficing".
 - *Administrative Man*: Simon's realistic model of the decision-maker, in contrast to the "Economic Man" who is perfectly rational.
- *Example* → A manager choosing a new software vendor does not evaluate *every* option worldwide. Instead, she gathers a reasonable number of quotes, compares key features, and picks one that meets the budget and requirements — a "good enough" decision.

5. Emerging Management Concepts (workforce diversity, outsourcing, knowledge mgmt, learning orgs)

5.1 Workforce Diversity

- *Definition* → A workforce composed of individuals with differences in *skills, age, gender, religion, culture, education, economic status*, etc.
- *Types*:
 - *Internal* → Inherent traits from birth (age, gender, race, physical ability).
 - *External* → Acquired through life (education, religion, experience, marital status).
 - *Organisational* → Earned within the job (role, hierarchy, employment status, union membership).
 - *Worldview* → How an individual interprets global events (shaped by all the above).
- *Importance*:
 - Brings *new ideas & perspectives*.
 - Fuels *innovation & productivity*.
 - Helps serve *diverse customer bases* better.
 - Improves *decision-making* by reducing groupthink.
- *Example* → A product design team with members from different age groups and cultures creates a gadget that appeals to both young tech-savvy users and older customers seeking simplicity.

5.2 Outsourcing

- *Definition* → Contracting out a business function or process to an external third-party supplier, rather than handling it in-house.
- *Advantages*:
 - *Cost savings* → Access to lower labour or operational costs.
 - *Increased efficiency & productivity* → Focus on core competencies while experts handle non-core work.
 - *Improved quality* → Specialist providers bring advanced skills and technology.
- *Disadvantages*:
 - *Loss of control* → Dependency on vendor's performance and timelines.
 - *Data security risks* → Sensitive information shared externally.
 - *Communication issues* → Time zone, language, and cultural barriers.
- *Example* → A software company outsources its customer support call centre to a specialised firm, reducing overhead costs but requiring strong contracts to protect user data.

5.3 Knowledge Management

- **Definition** → Process of creating, capturing, storing, and sharing organisational knowledge so it's available for *everyone*, rather than trapped in a few heads (*knowledge bottlenecks*).
- **Types of Knowledge:**
 - **Explicit Knowledge** → Easily codified and shared: manuals, SOPs, handbooks, policies.
 - **Tacit Knowledge** → Personal, experience-based, hard to articulate: design intuition, leadership skills, troubleshooting know-how.
- **Importance:**
 - Captures *valuable information* before employees leave or retire.
 - Allows *easy access* to knowledge resources → faster problem-solving.
 - Cultivates a culture where *knowledge is valued and shared*.
 - Treats *knowledgeable employees as assets*, not just tools.
- **Example** → A senior welder nearing retirement records video demonstrations and writes tip sheets capturing his tacit technique; new hires use these to reduce training time and avoid mistakes.

5.4 Learning Organization

- **Definition** → An organisation that fosters a culture of *continuous learning and knowledge creation* at all levels, embedding learning into its DNA to adapt, innovate, and thrive.
- **Characteristics** (Peter Senge's model):
 - **Building a Shared Vision** → A common goal that inspires collective commitment and creative thinking.
 - **Personal Mastery** → Individuals continuously deepen their skills and strive for excellence.
 - **Mental Models** → Surfacing and challenging deeply ingrained assumptions and biases that shape how we see the world.
 - **Team Learning** → Teams share insights and collaborate; the group's intelligence exceeds the sum of individual IQs.
 - **Systems Thinking** → Seeing the organisation as an interconnected whole, understanding how parts influence each other.
- **Example** → A hospital regularly conducts "after-action reviews" where surgical teams openly discuss what went well and what didn't, without blame — this loop becomes a source of continuous improvement in patient care.

Practice Questions

1. Describe the human relations theory of management **(2078, 5 marks)**
2. Write why modern organizations are involved in outsourcing. **(2079, 5 marks)**
3. What is learning organization? Explain the benefits of learning. **(2080, 5 marks)**
4. Discuss the need of contingency theory in Management. **(2081, 5 marks)**
5. Briefly describe about system theory of management. **(2082, 5 marks)**
6. What do you mean by workforce diversity? Point out its advantages and disadvantages. **(Model, 5 marks)**

Chapter 4: Environmental Context of Management

1. Concept of Business Environment

- *Business Environment* → The sum total of all forces surrounding and influencing the life and development of an organization.

Gareth: "The set of forces surrounding an organization that have the potential to affect the way it operates and its access to scarce resources."

- *Key Idea: The environment creates conditions that influence a firm's capacity to compete. Survival = ability to adapt to changing environmental forces.*

2. Types of Business Environment

The environment is divided into two broad categories: **Internal** and **External**.

2.1 Internal Environment

Forces and conditions within the organisation that directly influence behaviour.

- *Employees* → Main asset; their cooperation and productivity determine goal achievement.
[Example: Skilled, motivated workers lead to higher quality output.]
- *Shareholders & Board of Directors* → Owners (shareholders) elect directors who set strategy and oversee management.
[Example: The board approves a five-year expansion plan and evaluates the CEO's performance.]
- *Organizational Culture* → Shared values, beliefs, and norms that bind employees and guide decision-making.
[Example: A culture of innovation encourages employees to experiment without fear of failure.]
- *Labour Unions* → Represent workers' interests; good union-management relations prevent disruptions.
[Example: Regular dialogue avoids strikes and maintains smooth operations.]

2.2 External Environment

Forces outside the organisation that affect its operations. Two sub-categories:

- *General Environment (Macro)* — Affects all firms indirectly.
- *Task (Specific) Environment* — Directly impacts the day-to-day business.

3. Components of the External Environment

3.1 General Environment (PEST Analysis Framework)

A. Economic Environment

- Economic system, policies, and conditions that shape the market.
- *Components*: Economic system, monetary/fiscal policies, business cycle, capital market.
- *Factors*: National income, savings, investment, interest rates, inflation, employment, consumption patterns.
- *Manager's Task*: Forecast economic changes and adapt.
[Example: A rise in interest rates increases loan costs → firm may postpone expansion; falling unemployment signals rising consumer spending, so a retailer stocks more inventory.]

B. Socio-Cultural Environment

- Values, beliefs, lifestyles, family systems, religion, education, language, class system — all influence consumer behaviour and workforce attitudes.
[Example: A society that values health and fitness creates demand for organic food and gym services; a hierarchical class system may affect team dynamics in the workplace.]

C. Political Environment

- Government institutions, political parties, laws, and stability.
- Why important:
 - Imposes legal constraints (licenses, taxes, labour laws).
 - Creates pro- or anti-business climate.
 - Provides (or denies) stability for long-term planning.
[Example: A government announcing corporate tax cuts signals a pro-business stance; frequent policy flip-flops deter foreign investment.]

D. Technological Environment

- Practical application of scientific knowledge; includes automation, IT, communication, robotics.
- Brings both opportunities (new products, efficiency) and threats (obsolescence, competition).

[Example: E-commerce technology enables a small handicraft seller to reach global customers, but also exposes it to international competitors. A factory upgrading to automation reduces cost but displaces manual workers.]

3.2 Task (Specific) Environment

Direct, immediate external forces.

- **Customers** → Individuals, families, businesses who buy products/services. Provide revenue *and* feedback.
[Example: A restaurant adjusts its menu based on customer reviews and preferences.]
- **Suppliers** → Provide resources (raw materials, capital, equipment). Quality and price of inputs affect final output.
[Example: A smartphone maker depends on reliable chip suppliers; a delay in supply halts production.]
- **Government** (as specific actor) → Regulates, inspects, and enforces rules that directly impact business practices.
[Example: Food safety authority inspects a restaurant kitchen; a violation can lead to closure.]
- **Competitors** → Rival firms competing for the same resources and customers. Must analyse and differentiate.
[Example: Two airlines on the same route compete on price, schedule, and service quality.]
- **Media** → Watches and reports on business actions of public interest. Can shape reputation.
[Example: A news report on a company's environmental violation can trigger public outrage and boycott.]
- **Financial Institutions** → Banks, insurance companies, merchant banks that supply funds. Loan terms affect viability.
[Example: A start-up depends on a bank loan; a high-interest condition reduces profit margins.]
- **Special Interest Groups** → Environmentalists, consumer advocates, unions, professional bodies that pressurise firms on specific issues (quality, waste, pricing).
[Example: A consumer rights group forces a telecom company to improve network quality after a campaign.]

4. Social Responsibility of Business

4.1 Concept

Social Responsibility → The obligation of a business to act in ways that benefit society, beyond just pursuing profits.

Core idea: Business does not operate in a vacuum; it must consider the impact of its actions on all stakeholders.

4.2 Approaches to Social Responsibility

Two classical extremes and a modern middle path:

- **Classical (Friedman) View** → "The only social responsibility of business is to increase its profits."
 - Maximise shareholder wealth while obeying the law.
 - [Example: A firm focuses solely on cost-cutting and revenue, ignoring community protests about pollution, as long as it complies with minimum legal standards.]
- **Socio-Economic (Stakeholder) View** → Business is part of society and must serve broader social needs.
 - Protect and improve welfare of society, even beyond legal requirements.
 - [Example: A company voluntarily reduces carbon emissions beyond what the law requires, invests in employee education, and supports local infrastructure.]
- **Continuum of Responsibility:**
 - **Social Obligation** – meet only legal and economic minimums (compliance).
 - **Social Responsiveness** – respond to current societal demands and preferences.
 - **Social Responsibility** (proactive) – anticipate and act on future social needs; go beyond expectations.

[Example: A bank that offers low-interest loans to rural women not because of a law but because it believes in financial inclusion is showing proactive social responsibility.]

5. Areas of Social Responsibility

Key domains where businesses should act responsibly:

- **Organisational Stakeholders**
 - Employees: fair wages, safe workplace, no discrimination, training.
 - Shareholders: transparency, return on investment.
 - Suppliers/creditors: fair dealing, timely payment.
 - Government: paying taxes, obeying regulations.
 - Local community: generating employment, respecting local culture.

[Example: A factory ensures equal pay for equal work and provides health insurance to workers.]

- *The Natural Environment*

- Minimise pollution (air, water, soil), reduce resource depletion, adopt sustainable practices.
- [Example: A paper manufacturer invests in reforestation and wastewater treatment to neutralise its environmental footprint.]

- *General Social Welfare*

- Charitable contributions, building schools/hospitals, supporting arts and culture, disaster relief.
- [Example: A corporate hospital runs free health camps in remote villages, not as marketing but as part of its mission.]

6. Business Ethics

6.1 Meaning

- *Business Ethics* → Personal beliefs about whether a behaviour, action, or decision is right or wrong in a business context.

Griffin: "Ethics is an individual's personal belief about whether a behavior, action or decision is right and wrong."

- *It is about moral conduct, duty, and judgment applied in managerial decisions.*

Sources of Management Ethics:

- *Social Ethics* → values from society's laws, customs, norms.

[Example: Societal norm against child labour → company refuses to hire underage workers even where legal loopholes exist.]

- *Professional Ethics* → standards set by professional bodies.

[Example: Chartered accountants follow a code of integrity; HR managers maintain confidentiality.]

- *Individual Ethics* → personal values from family, upbringing, experiences.

[Example: A manager with strong personal honesty refuses a bribe even if it means losing a contract.]

6.2 Significance of Business Ethics

- *Enhances reputation and goodwill* → Ethical behaviour builds trust, a valuable intangible asset.

[Example: A brand known for fair trade practices attracts loyal customers.]

- *Avoids criticism and penalty* → Unethical acts lead to boycotts, legal fines, and loss of credibility.

[Example: A food company caught using harmful additives faces product bans and lawsuits.]

- *Promotes economic and social development* → Fair competition, prudent resource use, and ethical practices create a healthy business climate that benefits society at large.

- *Ensures transparency and credibility* → Ethical businesses keep promises, report honestly, and gain long-term stability.

- *Protects wider society* → Ethical actions safeguard consumer rights, environment, and community interests.

- *Creates a climate of justice, freedom, equity* → Inside the organisation, ethics ensures fair treatment, non-discrimination, and respect.

7. Emerging Business Environment in Nepal

Post-1990s liberalisation and ongoing political transformation shape Nepal's unique environmental context.

7.1 Economic Environment

- *Mixed economy*: public and private sectors coexist.
- *Slow growth*: GDP growth rate below 3%; per capita income remains low.
- *High inflation* (over 10%) hits low-income groups.
- *Large trade deficit*: Imports from India and China surge, exports lag due to weak product quality.
- *Globalisation impact*: Small and cottage industries face stiff competition; brain-drain drains skilled workforce.
- *Positive signs*: Quality management reforms and export-oriented industries offer hope.

[Example: Pashmina and handicraft producers adopting international quality standards to compete globally.]

7.2 Political and Legal Environment

- *Instability*: Frequent government changes, strikes (*bandhs*), and protests disrupt business.
- *Policy inconsistency*: Rules change with new governments, creating uncertainty for investors.
- *Law enforcement gaps*: Violations occur with political backing; labour union issues, human rights concerns, and civic unrest not fully addressed.
- *Constitutional vacuum*: Delay in drafting a new constitution adds to confusion.

[Example: A factory owner cannot plan long-term expansion because labour laws and tax policies may shift suddenly after the next election.]

7.3 Socio-Cultural Environment

- *Diversity*: Multi-caste, multi-religion, varied education levels, urban-rural divide.
- *Caste-based discrimination* persists in remote areas; literacy rates lag in villages.
- *Migration*: Youth outflow to Middle Eastern countries for employment alters workforce availability and remittance-driven consumption patterns.
- *Hierarchy*: Status-consciousness in society and organisations; favouritism and nepotism are common.
- *Strengths*: Simplicity, hospitality, honesty, and harmony with nature can be leveraged for ethical business models.

[Example: A tourism enterprise highlighting Nepali warmth and eco-friendly practices attracts international travellers.]

7.4 Technological Environment

- *Uneven adoption*: Banking, telecom, and IT sectors use modern technology; agriculture and traditional industries lag.
- *Financial constraints* limit small firms from upgrading.
- *Government apathy* in R&D and tech transfer hampers innovation.
- *Opportunity*: Leapfrogging with mobile banking, renewable energy, and IT services.

[Example: Digital payment platforms like eSewa and FonePay boom despite infrastructure challenges; a small farmer uses a mobile app to check market prices.]

Overall Outlook: Nepal's business environment is dynamic, filled with challenges of instability and underdevelopment, yet pockets of innovation and resilience show a path forward. Managers must navigate political risk, leverage socio-cultural strengths, invest in appropriate technology, and adopt ethical, globally competitive practices.

Practice Questions

1. What is business environment? Explain the components of an organization's internal environment. **(2078, 10 marks)**
2. Define business environment and explain its basic components. **(2079, 10 marks)**
3. Write the approaches of social responsibility. **(2080, 5 marks)**
4. Introduce business environment. Discuss the components of external business environment. **(2081, 10 marks)**
5. State and explain the internal components of business environment. **(2082, 10 marks)**
6. Mention the main factors of technological environment. **(2082, 5 marks)**
7. Explain the emerging business environment in Nepal. **(Model, 10 marks)**
8. Define business ethics. Explain their significance. **(Model, 5 marks)**

Chapter 5: Planning and Decision Making

1. Planning: Concept, Types, and Hierarchy

1.1 Concept of Planning

- *Planning* → The *primary* management function; deciding in advance *what, when, where, why, how* and *who*.
- *Koontz & O'Donnell*: "An intellectual process, the conscious determination of a course of action, the basing of decisions on purpose, facts and considered estimates."
- *Planning* = a documented statement of goals + action-oriented strategies + resource assignment.

Understanding → Planning is like drawing a map before a journey. Without it, you may move fast but in the wrong direction.

1.2 Types of Planning

A. By Managerial Hierarchy (Scope)

- *Strategic Plan (Grand Plan)* → Long-term, organisation-wide, externally oriented.
 - Prepared by *top management*.
 - Addresses mission, purpose, and overall direction.
 - *Example*: A car manufacturer decides to become the market leader in electric vehicles by 2030.
- *Tactical Plan* → Translates strategic goals into specific functional targets.
 - Prepared by *middle-level managers* (department heads).
 - Focuses on major actions a unit must take.
 - *Example*: The marketing department's plan to launch an EV awareness campaign and open 20 new dealerships in two years.
- *Operational Plan* → Day-to-day procedures and routines.
 - Prepared by *frontline managers/supervisors*.
 - Converts tactical objectives into individual assignments.
 - *Example*: A daily production schedule: "Assemble 50 battery packs per shift."

B. Contingency Plan

- *Plan B* — an alternative course of action if the original plan fails or an unexpected event occurs.
- Components: Business Impact Analysis → Incident Response → Disaster Recovery → Business Continuity.

C. By Time Frame

- Long-range (5+ years), Medium-range (2–4 years), Short-range (≤ 1 year).

D. By Frequency of Use

- *Standing Plans*: repeated use — policies, procedures, rules.
 - *Single-use Plans*: one-time — programmes, projects, budgets.
-

1.3 Hierarchy of Plans (Top to Bottom)

This hierarchy moves from broad inspiration to specific action.

- *Vision* → Non-specific, directional, motivational. Has emotional appeal.
Example: "A world where every Nepali has access to affordable healthcare."
 - *Mission* → Purpose and philosophy; the reason the organisation exists (5–10 years).
Example: "To provide quality, low-cost medicines through an innovative supply chain."
 - *Goals* → Targeted ends for the next 1–2 years, stating how the mission will be pursued.
Example: "Expand distribution to all 77 districts."
 - *Objectives* → Specific, measurable statements (*SMART* – Specific, Measurable, Attainable, Rewarding, Timed).
Example: "Open 30 new pharmacy outlets in rural areas by December."
 - *Strategies* → Courses of action that allocate resources efficiently to achieve objectives.
Example: "Partner with local cooperatives for last-mile delivery."
-

1.4 Methods of Planning

- *Top-Down Planning* (Centralised) → Headquarters develops guidelines and plans → disseminated to lower levels.
 - Fast; relies on top-level expertise.
 - *Example*: Corporate office sets annual sales targets for all regional branches.

- *Bottom-Up Planning* (Decentralised) → Lower levels draft plans → sent up for review and approval.
 - Encourages participation and commitment.
 - *Example*: Branch managers propose their own sales forecasts, compiled into the national plan.
- *Management by Objectives (MBO)* → Joint goal-setting by superiors and subordinates.
 - Focuses on results, self-control, and coaching.
 - Blends planning and control.
 - *Example*: A supervisor and employee together set quarterly performance targets and review dates.

1.5 Planning Process (Steps)

1. *Define Mission & Goals* → Clarify the organisation's purpose and direction.
2. *Analyse Environmental Forces* → Scan internal and external factors.
3. *Identify Opportunities & Threats* → Spot favorable trends and possible dangers.
4. *Analyse Organisational Resources* → Examine strengths (capital, skills, information).
5. *Formulate Plans* → Draft comprehensive, integrated plans covering all levels.
6. *Implement Plans* → Put plans into action; ensure resources, motivate staff.
7. *Evaluate & Control* → Monitor progress, identify deviations, adjust.

Tip → Planning is a cycle, not a one-time event. Feedback loops back into future plans.

1.6 Importance of Planning

- *Provides Direction* → Gives a clear future path for all managers.
- *Reduces Uncertainty* → Forecasting helps anticipate and meet future challenges.
- *Improves Competitive Strength* → Enables discovery of new opportunities.
- *Aids Coordination* → Aligns individual efforts toward common goals.
- *Ensures Better Resource Utilisation* → Prevents shortages and reduces waste.
- *Encourages Innovation & Creativity* → Sound planning promotes new thinking.
- *Basis of Control* → Goals act as standards against which performance is measured.

2. Strategic Planning

- *Definition* → Process of determining how to pursue long-term goals with expected resources.
- *Key Features*:
 - *Master Planning*: corporate-level plan crafted by the Board and CEO.
 - *Top-down Approach*: formulated centrally, disseminated for implementation.
 - *Highly Prescribed*: detailed roles and responsibilities for all units.
 - *Detailed Control*: central monitoring to ensure implementation.

2.1 Environmental Scanning

- *Concept* → Acquiring information and systematically analysing emerging trends in the environment.
- *Wheeler & Hunger*: "Monitoring, evaluating, and disseminating information from external and internal environments to key people."
- *Essence*: Identify relevant changes → monitor their direction → forecast rate & impact → respond strategically.

Methods of Environmental Scanning:

- *Extrapolation Method* → Past data used to project future trends (trend analysis, regression).
Example: Using last 5 years' sales growth to predict next year's demand.
- *Intuitive Reasoning* → Scanner uses rational intuition and experience.
Example: A seasoned manager "senses" a shift in consumer taste before data confirms it.
- *Scenario Building* → Hypothetical "what-if" situations with logical cause-effect chains.
Example: "What if a new competitor enters with 30% lower price? How would we react?"
- *Delphi Technique* → Experts individually provide opinions through multiple rounds of questionnaires and feedback.
Example: Five economists anonymously forecast next year's inflation rate; results refined over rounds.

2.2 SWOT Analysis

A tool to match internal capabilities with external environment.

- *S - Strengths* (Internal +) → Resources, skills, advantages over competitors.
Example: Strong brand image, skilled R&D team, loyal customer base.
- *W - Weaknesses* (Internal -) → Limitations that hinder performance.
Example: Outdated technology, weak distribution network, high employee turnover.

- *O – Opportunities* (External +) → Favourable situations to exploit.

Example: Government subsidy on renewable energy, rising demand for organic food.

- *T – Threats* (External –) → Unfavourable situations to counter.

Example: New aggressive competitor, changing regulatory norms, economic downturn.

SWOT Matrix → The best strategy maximises Strengths–Opportunities (SO) matches and mitigates Weaknesses–Threats (WT) risks.

2.3 Formulation of Strategic Plans (Steps)

1. *Evaluate Current Performance* → Assess profits, ROI, market share vs. mission.
2. *Review Corporate Governance* → Evaluate top management's ability to set vision/mission.
3. *External Environment Analysis* → Scan for opportunities and threats.
4. *Internal Environment Analysis* → Identify core competencies (strengths) and weaknesses.
5. *Analyse Strategic Factors* → Pinpoint critical issues; generate strategic alternatives.
6. *Evaluate & Select the Best Option* → Use SWOT matrix to choose a strategy that fits internal strengths with external opportunities.

2.4 Implementation of Strategic Plans

- *Strategy Implementation* → "Working the plan" into action.
- A worthless exercise if not implemented properly.
- Affects all levels and functions; requires resource alignment, motivation, and strong communication.

3. Quantitative Tools for Planning

- *PERT (Program Evaluation & Review Technique)* → A network/flow-chart showing project activities.
 - *Events*: start/end points of activities.
 - *Activities*: time or resources needed between events.
 - *Slack Time*: allowable delay without affecting the project deadline.
 - *Critical Path*: the longest sequence; determines the minimum project duration.

Example: Constructing a bridge – identifying that foundation work and steel erection are on the critical path, so any delay there pushes the whole project.
- *Break-Even (BE) Analysis (Cost-Volume-Profit)* → Determines the quantity at which total revenue = total cost.
 - Helps in pricing and profit decisions.

Example: How many cups of coffee must a café sell to cover rent, wages, and materials before making a profit?
- *Linear Programming* → Optimising an objective (max profit or min cost) under limited resources.

Example: A furniture factory decides the best combination of tables and chairs to produce within available wood and labour hours to maximise profit.
- *Gantt Chart* → Horizontal bar chart with time on X-axis and activities on Y-axis.
 - Shows start/end of each task, allows at-a-glance progress monitoring.

Example: A marketing campaign schedule – bars show when graphic design, printing, and social media ads start and end; delays are instantly visible.

4. Decision Making

4.1 Definition and Process

- *Decision* → A choice made from available alternatives.
- *Decision Making* → Conscious process of selecting a course of action to achieve a goal or solve a problem.

Decision-Making Process (6 Steps):

1. *Identify & Diagnose the Problem* → Accurately recognise deviation.

Example: Declining sales – root cause: poor advertising, not product quality.
2. *Generate Possible Alternatives* → List all feasible solutions.
3. *Evaluate Alternatives* → Assess each against criteria (feasibility, cost, time, effectiveness).
4. *Select the Best Alternative* → Choose the one that maximises goal achievement.

Selection reasons: cheaper, faster, more effective, preferred by staff, higher productivity.
5. *Implement the Selected Alternative* → Put it into action with communication and cooperation.
6. *Evaluate & Control* → Monitor results; if problem persists, restart the process.

4.2 Approaches to Decision Making

- *Classical Model* (Prescriptive, based on economic rationality)
 - Assumes: clear objectives, full information, all alternatives known, rational evaluation, maximisation of return.
 - Works best under *certainty* or for programmed decisions.
 - *Limitation*: Unrealistic for complex, uncertain problems.
 - *Administrative Model* (Herbert Simon)
 - Based on *bounded rationality*: decision makers are limited by beliefs, skills, time, incomplete information.
 - They *satisfice* — select the first satisfactory solution rather than searching for the optimal one.

Example: A manager hires the first candidate who meets basic requirements, not necessarily the absolute best possible, because searching exhaustively is impractical.
-

4.3 Types of Decisions

A. By Frequency

- *Programmed Decisions* → Repetitive, routine; solved by policies, rules, SOPs.

Example: Reordering office supplies when stock falls to a preset level.
- *Non-Programmed Decisions* → Novel, unstructured, complex; require judgment and creativity.

Example: Deciding to enter an entirely new foreign market.

B. By Nature

- *Operating Decisions* (Internal) → Day-to-day efficiency, production schedule, inventory. Taken by lower management.
 - *Strategic Decisions* (External focus) → Goals, diversification, expansion. Taken by top management.
 - *Administrative Decisions* → Bridge the two; rules, procedures, reward systems, information flow. Taken by middle management.
-

4.4 Decision Making Conditions

- *Certainty* → All alternatives, conditions, and consequences are known.

Example: Buying a printer after comparing exact specs and prices from different vendors.

 - Decision is simple and straightforward.
 - *Risk* → Alternatives known, but outcomes are probabilistic (less than 100%).

Example: Launching a new product with a 70% chance of success based on market research. The manager faces risk but can assign probabilities.
 - *Uncertainty* → Little or no information about alternatives or future environment.

Example: Investing in a politically unstable country where laws may change overnight.

 - Manager relies on intuition, judgment, and experience.
-

4.5 Decision-Making Styles (Vroom-Yetton baseline)

- *Autocratic*
 - *Style I*: Manager decides alone using available information.
 - *Style II*: Manager gathers information from subordinates, then decides alone.
- *Consultative*
 - *Style III*: Manager shares problem individually with relevant subordinates, gets ideas, then decides (may or may not use their input).
 - *Style IV*: Manager shares problem with group collectively, gets ideas, then decides.
- *Group Process*
 - *Style V*: Manager shares problem with group; together they generate, evaluate, and reach consensus. Manager implements the group's supported solution.

Choosing the style depends on time, importance of decision, and need for commitment.

5. Problem Solving

5.1 Concept

- *Problem* → Deviation between actual and desired situation.
 - *Problem Solving* → Using information to minimise that deviation, selecting alternatives, resolving disputes, and making an optimum choice.
-

5.2 Types of Problems

A. By Frequency

- *Routine* → Regular occurrence; solved by established rules.
Example: Frequent power outage – backup generator starts automatically.
- *Exceptional* → Occasional, unexpected; requires managerial experience.
Example: Sudden entry of a global MNC disrupting the local market.

B. By Urgency

- *Urgent* → Must be solved immediately.
Example: Production line breakdown halts output.
- *Non-urgent* → Can take time for consultation and careful analysis.

C. By Impact

- *Overall Impact* → Affects entire organisation (e.g., fall in overall profits).
- *Partial Impact* → Affects only a segment or unit (e.g., single product line loss).

D. By Source

- *Technical* → Machines, materials, production methods.
- *Human* → Behavioural: motivation, dissatisfaction, conflict.

5.3 Problem-Solving Strategies (Judith G. Bulin)

- *Separate the person from the problem* → Focus on the issue, not blame.
- *Listen carefully* → Hear both what is said and what is avoided; ask clarifying questions.
- *Get as much information as possible* → Identify all issues; consult involved parties.
- *Explore alternative solutions* → Ask those close to the problem for suggestions; solutions from them face less resistance.
- *Decide what to do* → Secure agreement on the next steps; choose an acceptable alternative.
- *Create accountability* → Define who does what, by when.
- *Monitor progress* → Check if the plan works; be flexible to adjust.
- *Give credit where due* → Recognise contributions of those involved.

5.4 Crisis Handling

- *Crisis* → A serious, high-intensity problem threatening the organisation's ability to function.
- *Causes*: lack of planning, ignoring problems, reluctance to deal with conflict.

Phases of Crisis Handling:

1. *Warning* → Detect early signals; regular monitoring, open communication.
2. *Preparation & Prevention* → Search for potential problems; train staff, drill responses.
3. *Damage Limitation* → Contain the crisis through careful analysis and preparation.
4. *Recovery* → Address the problem quickly; bring operations back to normal.
5. *Organisational Learning* → Analyse why it happened; prevent recurrence.

Steps in Crisis Management:

- *Anticipating* → Understand possible sources by analysing work and people.
- *Contingency Planning* → Develop specific "Plan B" actions, including warning signals.
- *Practicing* → Test the contingency plan through drills so it works in a real crisis.

Example: A bank regularly tests its cyber-attack response plan to ensure staff know exactly how to react if systems are breached.

Practice Questions

1. Write five differences between strategic and tactical planning. **(2078, 5 marks)**
2. Explain the different types of decisions. **(2078, 5 marks)**
3. Explain the importance of planning. **(2079, 10 marks)**
4. What do you mean by making decisions under conditions of uncertainty? **(2079, 5 marks)**
5. What is planning? Discuss the major steps involved in the planning process. **(2080, 10 marks)**
6. Mention the types of problems on the basis of urgency. **(2080, 5 marks)**
7. What is Planning? Discuss the types of Plans. **(2081, 5 marks)**
8. State and explain the decision making conditions **(2081, 5 marks)**
9. Introduce planning. Describe the process of planning. **(2082, 10 marks)**
10. Describe the various types of decisions. **(2082, 5 marks)**
11. Highlight the importance of planning. **(Model, 5 marks)**
12. State the types of decisions. **(Model, 5 marks)**

Chapter 6: Organizing Function

1. Concept and Principles of Organizing

1.1 Concept of Organizing

- *Organizing* → Designing and assigning jobs, grouping tasks, delegating authority, and establishing relationships so that people can work together effectively.
- *Allen*: "The process of identifying and grouping the work to be performed, defining and delegating responsibility and authority, and establishing a pattern of relationship to enable people to work most effectively together in accomplishing objectives."
- *Organizing* = *Structuring* relationships among people, jobs, and the organisation.

Understanding → If planning is drawing the map, organising is building the vehicle and assigning seats.

1.2 Principles of Organizing

Guidelines to create a sound organisation structure.

- *Objective* → Structure must reflect clearly defined goals for the whole organisation, each department, and each position.
 - *Specialization (Division of Labour)* → Break down large tasks into smaller, specialised jobs. Each person concentrates on what they do best.
Example: In a restaurant, separate chefs for grilling, salads, and desserts.
 - *Span of Control* → Limit the number of subordinates a manager can effectively supervise. A smaller span helps maintain efficiency.
 - *Scalar Chain* → A clear, unbroken chain of command from top to bottom. Keeps communication and decision-making orderly.
 - *Unity of Command* → Each employee receives orders from *one* superior only. Prevents confusion and conflict.
Example: A salesperson reports to only one sales manager.
 - *Delegation of Authority* → Authority must be delegated sufficiently so that every manager can accomplish assigned tasks.
 - *Responsibility* → Managers are responsible for their own actions and those of their subordinates.
 - *Efficiency* → The structure should achieve goals at the lowest possible cost with optimum use of resources.
 - *Simplicity* → Keep the structure as simple as possible to avoid communication and coordination problems.
 - *Flexibility* → The structure should adapt to changes in the external environment.
 - *Balance* → Reasonable balance in the size of departments and between centralisation and decentralisation.
 - *Unity of Direction* → One objective and one plan for each group of activities with the same purpose.
-

2. Approaches to Organizing

2.1 Classical Approach

- *Key thinkers*: Taylor, Fayol, Weber.
- Believes in *universal principles* and "one best way" to organise.
- *Taylor*: Scientific job design; separate planning (management) from doing (workers); incentive pay.
- *Fayol*: 14 principles; unity of command, scalar chain, authority-responsibility.
- *Weber's Bureaucracy*: hierarchy, rules & regulations, impersonality, technical qualifications, seniority-based promotion.
- *Mechanistic view*; treats organisation like a machine.

2.2 Behavioural Approach

- Focuses on *people* as the central element of organised activity.
- Success depends on understanding workers' backgrounds, needs, perceptions, and aspirations.
- Concentrates on social aspects of the job (not just physical).

Example: Designing teams to satisfy social needs, not just technical efficiency.

2.3 Contingency Approach

- Rejects "one best way". The right structure depends on the *situation*.
- *Contingency variables*:
 - *Technology* → influences coordination needs (routine vs. non-routine).
 - *Environment* → stable environments suit mechanistic; dynamic environments need organic.
 - *Size* → larger organisations tend to have more complex structures.
 - *Strategic Choice* → structure follows strategy; decide what to do before designing the structure.

3. Process of Structuring an Organization

Five sequential steps to build an organisation's framework.

1. *Study of Jobs* → Identify the work and its elements required to achieve objectives.
 2. *Grouping of Jobs (Departmentalization)* → Cluster similar or related jobs into departments based on function, product, territory, etc.
 3. *Division of Labour* → Assign specific tasks to individuals based on their skills and training.
 4. *Deciding on Organisation Design* → Choose between *mechanistic* (rigid, hierarchical, rule-based) and *organic* (flexible, participative, adaptive) structures based on contingency factors.
 5. *Coordination of Activities* → Integrate efforts across departments through leadership and communication to ensure all parts work as a whole.
-

4. Departmentalization: Meaning and Types

- *Departmentalization* → The process of grouping jobs into manageable units (departments) based on a logical arrangement.
- *Shrlekar*: "The process of analysing, dividing, and arranging work or activities into manageable portions for individuals, sections, and departments."

Types of Departmentalization:

A. By Function

- Groups jobs by business functions: production, marketing, finance, HR.
- *Example*: All accounting staff placed in the Finance Department.
- *Advantages*: specialisation, direct supervision, clear career paths.
- *Disadvantages*: narrow departmental focus, less concern for overall goals.

B. By Product

- All activities related to one product or product line are grouped.
- *Example*: A large electronics firm with separate divisions for mobiles, laptops, and appliances.
- *Advantages*: coordination within product, quick decisions, easy performance evaluation.
- *Disadvantages*: resource duplication, reduced cooperation across product divisions.

C. By Customer/Client

- Organised around specific customer types to serve their unique needs.
- *Example*: A bank's loan department split into sections for traders, industrialists, and farmers.
- *Advantages*: customer focus, easy to measure performance, promotes general management skills.
- *Disadvantages*: resource duplication, cross-group cooperation may suffer.

D. By Territory (Geographic)

- Groups activities by region, zone, or branch.
- *Example*: Insurance company with Eastern, Central, and Western regional offices.
- *Advantages*: locally responsive, deep regional knowledge, clear regional accountability.
- *Disadvantages*: cross-regional coordination difficult, duplication of functions.

E. By Process

- Suitable for manufacturing where distinct processes exist.
- *Example*: Textile mill with departments for spinning, weaving, dyeing, and finishing.
- *Advantages*: clear authority, efficient resource use.
- *Disadvantages*: mainly for manufacturing, risk of coordination gaps.

F. By Time

- For organisations operating 24 hours; departments based on shifts.
 - *Example*: Hospital with day, evening, and night shifts.
 - *Advantages*: optimum resource use, flexible staffing.
 - *Disadvantages*: scheduling complexity, overtime costs, coordination across shifts.
-

5. Delegation of Authority

- *Delegation* → The process by which a manager assigns a portion of his/her workload and the necessary authority to a subordinate.
- *Griffin*: "The process by which a manager assigns a portion of his or her total workload to others."

Features:

- *Assigning Responsibility* → Creates an obligation to perform the given duty.
- *Granting Authority* → Transfers the right to make decisions and use resources.

- *Creating Accountability* → The subordinate becomes answerable for performance; accountability flows upward.

Advantages:

- Reduces top management's workload; frees them for strategic issues.
- Develops subordinates' decision-making skills.
- Leads to better, faster decisions (decision-maker is close to the action).
- Increases employee motivation and acceptance of accountability.

Barriers to Effective Delegation:

- *Manager's reluctance*: lack of trust, fear of competition from skilled subordinates.
- *Subordinates' unwillingness*: no extra reward for additional responsibility.
- *Organisational climate*: rigid structure, unclear authority lines.

Key principle: Authority and responsibility must be in parity (equal). Responsibility cannot be delegated; the delegator remains ultimately accountable.

6. Centralization and Decentralization

- *Centralization* → Systematic retention of power and decision-making authority in the hands of top-level managers.
Griffin: "The process of systematically retaining power in the hands of higher-level managers."
- *Decentralization* → Systematic dispersal of decision-making authority to the lowest levels where work is performed.
Koontz & Weihrich: "The tendency to disperse decision-making authority in an organised structure."

Advantages of Centralization:

- Uniformity of policies and practices.
- Minimised duplication of functions.
- Strong coordinated top-management team.
- Full utilisation of central office facilities.

Disadvantages of Centralization:

- Work overload on top management.
- Less development opportunity for middle/lower managers.
- Close supervision may demotivate skilled employees.

Advantages of Decentralization:

- Motivates employees through participation.
- Develops managerial skills at all levels.
- Quicker response to local conditions.
- Reduces burden on top management.

Disadvantages of Decentralization:

- Difficult to maintain uniform policies.
- Risk of misuse of authority if managers are unskilled.
- Higher cost for training and development.
- Requires strong planning and control systems.

Note: Decentralization is an extension of delegation. When delegation is applied organisation-wide and systematically, it results in decentralization.

7. Organic and Mechanistic Views of Organization

Two contrasting designs for structuring organisations.

Aspect	Mechanistic View	Organic View
<i>Structure</i>	Rigid, tall hierarchy	Flexible, flat, network-like
<i>Rules & Procedures</i>	Many formal rules, standardised	Few rules, adaptable
<i>Decision-making</i>	Centralised at top	Decentralised, participative
<i>Communication</i>	Vertical, top-down	Lateral, free-flowing
<i>Environment</i>	Stable, predictable	Dynamic, uncertain
<i>Job Design</i>	Narrow, specialised	Broad, enriched
<i>Example</i>	Classic assembly-line factory	Tech startup, R&D lab

Choosing between them: The contingency approach determines which is appropriate. Mechanistic suits routine tasks and stable environments; organic suits innovation, rapid change, and complex environments.

8. Types of Modern Organizational Structures

The syllabus highlights three modern forms: matrix, team, and network.

8.1 Matrix Structure

- *Also called:* project organization, grid, multiple command system.
- *Design:* Combines functional and project-based departments. Employees report to *two bosses* — a functional manager and a project manager.
- *Example:* An engineer works daily under the engineering head (functional) but is assigned to a specific new-product project and reports to the project manager for that work.
- *Advantages:* efficient resource use, flexibility, improved decision quality, personal development.
- *Disadvantages:* slower decisions, power struggles, ambiguous accountability, role conflict.

8.2 Team Structure

- *Concept:* The entire organisation or large parts of it are built around self-managing teams rather than rigid departments.
- Team members decide on inputs, schedules, task allocation, and even performance evaluation.
- *Advantages:* enhances performance, reduces stress, promotes creativity and innovation.
- *Example:* A software firm where cross-functional teams (designers, developers, testers) handle complete products from start to finish.

8.3 Network (Virtual) Structure

- *Also called:* virtual organization.
- *Design:* The organisation creates a network of external partners and contractors to perform most core functions — manufacturing, distribution, accounting, HR — keeping only the most essential strategic activities in-house.
- *Example:* A fashion brand that designs clothes but outsources manufacturing to factories, logistics to shipping firms, and sales to online retail partners.
- *Advantages:* high flexibility, low overhead, access to specialised expertise.
- *Disadvantages:* less direct control, dependency on partners, possible coordination challenges.

Practice Questions

1. Describe the different approaches to organizing. **(2078, 10 marks)**
2. What is delegation of authority? Explain the features of delegation of authority. **(2078, 5 marks)**
3. Explain the disadvantages of centralization. **(2079, 5 marks)**
4. What type of organization formed departmentalization by customers? **(2080, 5 marks)**
5. What types of organization formed Departmentalization by locations? **(2081, 5 marks)**
6. What is departmentalization? Explain the types of departmentalization. **(2082, 10 marks)**
7. Distinguish between centralization and decentralization of authority. **(2082, 5 marks)**
8. Highlight the principles of organization. **(2082, 5 marks)**
9. Describe the different types of modern organizational structure. **(Model, 10 marks)**
10. What is centralization? Explain its disadvantages. **(Model, 5 marks)**

Chapter 7: Leadership & Conflict

1. Concept and Functions of Leadership

1.1 Concept of Leadership

- *Leadership* → The ability to build confidence and zeal among people and to create an urge in them to be led.
- *Mary Parker Follett*: "The leader stimulates what is best in us ... gives form to the uncoarctate energy in every man."
- *Koontz & O'Donnell*: "The ability of a manager to induce subordinates to work with confidence and zeal."
- *Key idea*: Leadership is about *influence*, not coercion. Followers follow willingly.

Nature / Characteristics of Leadership:

- Personal quality.
- Exists only with followers; willingness of people to follow makes a leader.
- Process of influence over behaviour, attitude, and beliefs.
- Aims at realisation of common goals.
- Involves readiness to accept complete responsibility.
- Leadership styles change with circumstances.
- It is not "bossism" and is distinct from mere management.

Understanding → A manager is a position; a leader earns voluntary followers. Leadership can exist at any level.

1.2 Functions of a Leader

1. *Setting Goals* → Lay out creative goals and policies; persuade subordinates to work with zeal.
2. *Organizing* → Shape the organization scientifically; assign roles matching individual abilities.
3. *Initiating Action* → Take initiative; float new ideas and make original decisions rather than depending on others.
4. *Co-ordination* → Reconcile interests of individuals with organizational goals; secure voluntary co-operation.
5. *Direction and Motivation* → Guide and motivate people to do their best; build confidence.
6. *Link between Management and Workers* → Interpret management policies to workers and represent workers' interests before management.

2. Leadership Styles

Three classic styles based on decision-making authority.

Style	Description	Example
<i>Autocratic</i>	Leader makes all decisions; imposes them and expects obedience. No consultation.	Army commander giving an order; a CEO dictating a merger decision without input.
<i>Democratic</i>	Leader involves employees in decision-making, delegates authority, encourages participation.	A project manager holding a vote on the team's sprint priorities.
<i>Laissez-faire (Free-rein)</i>	Leader gives group complete freedom; members decide methods and goals.	A university research group where the professor provides resources but lets researchers set their own direction.

The choice of style depends on situation, task urgency, and team competence.

3. Approaches to Leadership

3.1 Trait Theory

- Assumes *leaders possess certain innate traits* that non-leaders lack.
- *Common traits identified*: Drive, desire to lead, honesty & integrity, self-confidence, intelligence, job-relevant knowledge, extraversion (outgoingness, high energy).
- *Limitation*: No universal set of traits predicts leadership success in all situations.

3.2 Behavioral Theories

- Focus on *what effective leaders do*, not who they are. Leadership can be learned.
- *Four leadership behaviors* (from path-goal theory, often used):
 - *Directive leadership* → Gives clear instructions, expectations, schedules.
 - *Supportive leadership* → Shows concern for subordinate needs and well-being.
 - *Participative leadership* → Consults subordinates and uses their suggestions before deciding.
 - *Achievement-oriented leadership* → Sets challenging goals and expects high performance.
- *Example*: A manager might use directive style with new hires, then shift to participative as they gain experience.

3.3 Situational Theory

- *No single best style*; effective leadership depends on the situation.
 - Particularly, the style should match the *follower's readiness* (ability and willingness to do a task).
 - *If followers are unable and unwilling* → Use directive style.
If followers are able and willing → Use delegating / laissez-faire style.
 - *Core concept*: Leaders must diagnose the situation and adapt their style accordingly.
-

4. Group Formation

- *Group* → Two or more individuals, interacting and interdependent, who come together to achieve particular objectives.

Stages of Group Development (Tuckman's Model):

1. *Forming* → Members are unsure of purpose; they look to the leader for direction. Politeness, anxiety, curiosity.
Example: First day of a new project team; everyone is getting to know each other.
 2. *Storming* → Conflict and friction arise as members push boundaries and express different ideas.
Example: Team argues over the best technical approach; personality clashes surface.
 3. *Norming* → Differences are resolved; cohesion develops; members appreciate each other's strengths and respect the leader.
Example: Team agrees on communication protocols and role divisions.
 4. *Performing* → The team works as a unit, efficiently achieving goals. High trust, clear processes.
Example: A surgical team working seamlessly during a complex operation.
 5. *Adjourning (Mourning)* → Task is completed; group disbands. Mixed feelings of achievement and loss.
Example: Project end party; team members redeployed to other projects.
-

5. Types and Characteristics of Groups

5.1 Types of Groups

- *Formal Groups* → Created by the organisation to coordinate work activities; have defined roles.
Example: A finance department, a quality control committee.
- *Informal Groups* → Formed spontaneously based on personal relationships and shared interests; satisfy psychological and social needs.
Example: Colleagues who lunch together daily and support each other.
- *Managed Groups* → Members share a similar work type but may not interact much.
Example: All the science teachers in a school, grouped under a "Science Department" label.
- *Process Groups* → Members follow a fixed sequence of steps together.
Example: An assembly-line team where each worker adds a component in a set order.
- *Goal Groups* → Formed to achieve a specific shared objective.
Example: A taskforce created to reduce costs by 10% in six months.
- *Learning Groups* → Formed to increase knowledge or skills.
Example: A book club at work, a study circle for a professional certification.
- *Problem-Solving Groups* → Come together to address a specific issue.
Example: A team investigating a sudden drop in customer satisfaction.
- *Interest Groups* → Members affiliate to achieve a personal or shared objective, may cross formal lines.
Example: An employee union, a group advocating for a company daycare facility.
- *Task / Functional Groups* → Formed around a task or function and remain for a long period.
Example: The permanent IT support team.
- *Interacting Groups* → Members' performance depends on the completion of each other's assigned tasks (sequential interdependence).
Example: A car production line where engine installation must happen before the body is fitted.

5.2 Characteristics of Groups

- *Interaction*: members communicate and influence one another.
- *Interdependence*: rely on each other's efforts.
- *Common objective(s)*.
- *Shared norms and roles*.

- *Cohesiveness*: a sense of belonging.

6. Conflict: Meaning and Types

- *Conflict* → A serious disagreement and argument about something important. In the workplace, it arises from unmet expectations, personality clashes, or value differences.

6.1 Types of Conflict

Type	Source	Example
<i>Task Conflict</i>	Disputes about work content, resource division, procedures, or interpretation of facts.	Two managers argue over how to allocate the annual budget between marketing and R&D.
<i>Relationship Conflict</i>	Differences in personality, style, taste; often emotional friction.	A detail-oriented accountant finds a creative designer's casual approach frustrating; they clash personally.
<i>Value Conflict</i>	Fundamental differences in deeply held beliefs, ethics, politics, or norms.	A team debates whether to take on a client with ties to a corrupt government; one member finds it morally unacceptable.

7. Managing Conflicts in Organizations

A structured mediation framework with seven key steps.

1. Bring Both Parties Together

- Choose a neutral, private meeting place.
- Make each side feel safe to express themselves honestly.

2. Lay Out the Ground Rules

- Mediator's role: guide toward a mutually beneficial outcome, not assign blame.
- Focus on the shared problem; no aggressive behaviour or language.
- Maintain respect and dignity.

3. Find the Root Cause of the Conflict

- Move beyond symptoms; identify the real underlying problem.

Example: A fight over overtime pay may actually stem from unclear communication about expectations.

4. Actively Listen as Each Side Has Their Say

- Give equal time and space; avoid finger-pointing.
- No single person dominates the conversation.

5. Establish a Desired Outcome

- Ask each party what they hope to achieve.
- Find a shared goal (e.g., a calmer, more harmonious work environment).

6. Get Participants to Suggest Potential Solutions

- Brainstorm courses of action each side can live with.
- Discard unworkable options jointly.

7. Implementation

- Have each participant acknowledge their responsibilities.
- Document specific actions, obligations, and timelines if needed.

Bottom line: Ownership of the solution increases the chance of lasting resolution.

Additional crisis note: For deeper, more complex disputes, mediation by a neutral third party is often the most effective method.

Practice Questions

1. Explain the different types of leadership styles. **(Exam years / Model, 5 marks)**
2. How are groups formed? Discuss the characteristics of effective groups. **(2078, 5 marks)**
3. Write the characteristics of groups. **(2079, 5 marks)**
4. Introduce conflict. Explain the types of conflict. **(2080, 5 marks)**
5. State and explain the traits of a leader. **(2081, 5 marks)**
6. Introduce conflict. Highlight the methods of managing conflict. **(2081, 5 marks)**
7. What is delegation of authority? Explain the features of delegation of authority.
8. Explain the different skills required for managers.

Chapter 8: Motivation

1. Concept of Motivation

- *Motivation* → An inner state that energises, activates, and directs behaviour toward achieving organisational goals.
- As a *management function*, it is the process of inspiring people to take required actions by satisfying their needs.
- *Key idea*: Motivation answers "*Why do people do what they do?*" — it is the psychological force that drives effort.

Importance of Motivation:

- *Improves productivity* → Willing workers produce more.
- *Creates willingness* → Employees go beyond the bare minimum.
- *Develops positive attitude* → Reduces absenteeism, grievances.
- *Optimal use of resources* → Motivated people minimise waste.
- *Helps manage change* → Motivated employees embrace new methods.

Understanding → A motivated employee is like a self-charging battery. External inputs (rewards, recognition) help, but the energy comes from within.

2. Theories of Motivation

2.1 Maslow's Need Hierarchy Theory

- *Abraham Maslow* arranged human needs in a five-level pyramid, from lower to higher order.
- *Core principle*: A satisfied need no longer motivates. Once one level is substantially fulfilled, the next higher level emerges as the dominant motivator.

The Five Levels (Bottom → Top):

1. *Physiological Needs* → Basic survival: food, water, shelter, sleep.
Workplace example: Adequate salary to afford living expenses, rest breaks.
2. *Safety Needs* → Security, stability, protection from harm.
Workplace example: Job security, pension plans, safe working conditions, health insurance.
3. *Social Needs* → Belonging, love, friendship, acceptance.
Workplace example: Friendly colleagues, team-based projects, office social events.
4. *Esteem Needs* → Recognition, status, self-respect, achievement.
Workplace example: Job title, praise from boss, award for "Employee of the Month."
5. *Self-Actualisation Needs* → Becoming the best one can be; growth, creativity, reaching full potential.
Workplace example: Challenging assignments, opportunities for innovation, personal development programmes.

Managerial implication → Identify which need level an employee is at, and offer rewards that match it. For example, a person struggling to pay rent (physiological) will not be motivated by a "best-idea" award (esteem).

2.2 Herzberg's Motivation-Hygiene (Two-Factor) Theory

- *Frederick Herzberg* extended Maslow's work and split job factors into two categories:

Hygiene Factors (Dissatisfiers)	Motivators (Satisfiers)
Company policies & administration	Achievement
Supervision (technical quality)	Recognition
Relationship with supervisor	The work itself (interesting, challenging)
Working conditions	Responsibility
Salary & benefits	Advancement (promotion)
Job security	Personal growth

- *Hygiene factors* → Do not motivate when present, but their *absence* causes dissatisfaction. They are maintenance factors; meeting them only prevents unhappiness.
Example: A clean, air-conditioned office will not make you jump with joy, but a leaking, sweltering room will make you miserable.
- *Motivators* → Intrinsic factors that truly drive performance and satisfaction. When present, they create positive motivation.
Example: A meaningful project that challenges your skills, public recognition of a job well done.

Core implication → To truly motivate, fix hygiene first (pay fairly, provide decent conditions), then enrich the job with motivators (give responsibility, meaningful work, growth opportunities).

3. Reward System to Motivate Performance

- *Reward System* → The formal and informal mechanisms by which performance is defined, evaluated, and rewarded. It includes rules, procedures, and standards for allocating compensation and benefits.
- A sound reward system positively impacts willingness, performance, and retention.

3.1 Types of Rewards

A. Financial vs. Non-financial

- *Financial* → Directly monetary: salary, wages, commission, bonuses, allowances.
Example: A 15% annual bonus for meeting sales targets.
- *Non-financial* → Not convertible into cash; based on culture and behaviour: praise, flexible hours, career development, a desirable job title.
Example: "Employee of the Month" parking spot, public recognition at a company meeting.

B. Intrinsic vs. Extrinsic

- *Intrinsic (Internal)* → Derived from the job itself; personal satisfaction.
Sources: Job design, job enlargement, job enrichment, empowerment, autonomy.
Example: A designer who feels a deep sense of pride and accomplishment after solving a complex UX problem.
- *Extrinsic (External)* → Visible, tangible rewards given by others.
Sources: Salary, bonus, allowances, promotion, authority.
Example: A promotion to Senior Manager with a corner office.

3.2 Features of an Effective Reward System

- *Transparent* → Clear criteria; employees understand how rewards are earned.
- *Based on needs* → Recognises what employees value (not all want the same thing).
- *Equitable* → Fair and consistent; avoids discrimination.
- *Related to performance* → Rewards are linked to actual output or behaviour.
- *Economic* → Affordable for the organisation.
- *Variety in rewards* → Mix of financial, non-financial, intrinsic, and extrinsic.
- *Reinforcement-based* → Timely rewards that immediately follow desired behaviour strengthen it.

4. Motivation through Employee Participation

Participatory management → A philosophy and practice where employees are actively involved in management functions like planning, decision-making, organizing, and communication. It enhances dignity, respect, honour, and job satisfaction.

4.1 Quality of Work Life (QWL)

- *QWL* → The quality of the relationship between employees and their total working environment.
- *Goal* → Integrate socio-psychological needs of people with organisational processes and the existing socio-cultural environment.
- *Components often include:* fair pay, safe conditions, opportunity to use skills, growth prospects, work-life balance, participative decision-making.
- *Example:* A company introduces flexible working hours, sets up a collaborative workspace, and creates an employee-suggestion panel to influence canteen menus and break schedules. This improves the overall *quality of work life*.
- *Effect:* Higher satisfaction, reduced turnover, stronger commitment.

4.2 Self-Managed Teams

- *Definition* → Autonomous, self-contained work units that have the authority to implement solutions and bear responsibility for their actions.
- *Key characteristics:*
 - Members collectively decide on work allocation, schedules, and methods.
 - Measure their own performance using self-set standards (service quality, delivery targets, productivity, cost control).
 - Minimal direct supervision; the team manages itself.
- *Example:* A software development squad that decides its own sprint goals, divides tasks among members, and reviews each other's code without a traditional manager directing every step.
- *Motivational impact:* Being involved in decision-making gives a sense of ownership and satisfaction, which fuels intrinsic motivation. Employees feel trusted and empowered.

Practice Questions

1. 1. What is motivation? Explain about the importance of reward system to motivate employees in developing country like Nepal. **(2078, 5 marks)**
2. 2. Describe the hierarchy of needs theory. **(2079, 5 marks)**
3. 3. Define motivation. Explain Herzberg's theory of motivation. **(2080, 5 marks)**
4. 4. Explain the essentials of effective reward systems. **(2080, 5 marks)**
5. 5. Explain the need hierarchy theory developed by Maslow. **(2081, 5 marks)**
6. 6. Describe the common techniques of employee motivation. **(2082, 5 marks)**
7. 7. What is motivation? Explain Maslow's need hierarchy theory of motivation. **(Model, 10 marks)**
8. 8. What is motivation? Explain about the importance of reward system to about the importance of to motivate employees in developing country like Nepal.

Chapter 9: Communication

1. Concept of Communication

- *Communication* → The process of exchanging information and ideas between individuals, groups, or organizations.
- It is the glue that holds planning, decision-making, problem-solving, and coordination together.
- Takes many forms: *verbal, written, non-verbal*; via face-to-face, phone, email, social media.

Understanding → Communication is not just speaking; it is ensuring that the message is *received and understood* as intended.

2. Communication Structure (Flows & Direction)

The organisation's hierarchy determines how information moves.

- *Downward Communication*
 - Flows from *higher to lower* levels.
 - *Purpose*: provide job instructions, policies, feedback.
 - *Examples*: official memos, policy manuals, company newsletters, job directives.
 - *Arrow*: Top Management → Middle → Lower
 - *Upward Communication*
 - Flows from *lower to higher* levels.
 - *Purpose*: report progress, problems, suggestions, grievances.
 - *Examples*: suggestion boxes, group meetings, appeal/grievance procedures, performance reports.
 - *Arrow*: Workers → Supervisors → Managers → Top
 - *Lateral (Horizontal) Communication*
 - Takes place among members at the *same level* or work group.
 - *Purpose*: coordination, problem solving across departments.
 - *Examples*: project team discussions, coordination meetings between marketing and sales managers.
 - *Arrow*: Peer ↔ Peer
-

3. Communication Process

A step-by-step model showing how meaning is transferred from a source to a receiver.

1. *Sender (Communicator)* → A person with an idea, intention, or information to share.
Example: A manager who wants to announce a new deadline.
2. *Encoding* → Translating the idea into words, symbols, gestures, or other systematic sets of symbols.
Example: The manager writes an email using clear language and bullet points.
3. *Medium / Channel* → The carrier of the message.
Example: The email, a phone call, a face-to-face meeting.
4. *Decoding* → Interpretation of the message by the receiver.
Example: The employee reads the email and understands the new deadline.
5. *Receiver* → The person or group for whom the message is intended.
6. *Feedback* → The receiver's response or reaction, sent back to the sender.
Example: The employee replies, "Got it, I'll submit the report by Friday."
7. *Noise* → Any interference that distorts the message.
Example: A loud office environment during a conversation, unclear language in the email, or a technical glitch in a video call.

Visual summary:

Sender → Encoding → Message (Channel) → Decoding → Receiver → Feedback (with Noise affecting any stage)

4. Types of Communication

4.1 Formal Communication

- *Officially established* channels by the organisation.
- Follows the chain of command, departmental meetings, official memos.

- **Purpose:** convey important instructions, policies, decisions.
- **Example:** A company-wide email from the CEO about a merger; a scheduled department meeting with an agenda.

4.2 Informal Communication

- **Unofficial** channels that develop naturally – grapevine, gossip, informal chats.
- Can be **positive** (quick spread of ideas, bonding) or **negative** (rumours, misinformation).
- **Example:** Colleagues discussing a rumour about a new branch opening over coffee; an instant messaging group for a project team.

4.3 Interpersonal Communication

- **Direct, face-to-face or group interaction** between individuals.
- Can be oral (conversations, meetings) or written (personal notes, memos).
- **Example:** A one-on-one feedback session between a supervisor and an employee; a team brainstorming meeting.

4.4 Non-verbal Communication

- Communication through **body language**: eye contact, gestures, posture, facial expressions, tone of voice.
- Must be **consistent** with the verbal message. Inconsistency creates confusion or distrust.
- **Example:** Saying "I'm confident about this plan" while avoiding eye contact and slouching signals doubt. A manager nodding and leaning forward while listening signals interest.

5. Barriers to Effective Communication

Barrier	Description	Example
<i>Filtering</i>	Sender deliberately manipulates information so the receiver hears only what is favourable.	A subordinate tells the boss only the good sales figures and hides the customer complaints.
<i>Selective Perception</i>	Receiver filters the message based on his/her own viewpoint, needs, or background; hears what they want to hear.	A manager interprets a neutral comment as criticism because of past experiences.
<i>Information Overload</i>	Receiving more information than one can process; leads to missing key points.	An employee receiving 200 emails a day overlooks a crucial safety update.
<i>Emotions</i>	Extreme emotions (anger, excitement, sadness) cloud judgment and interpretation.	An angry employee misreads a simple request as an attack.
<i>Language</i>	Words with multiple meanings, jargon, technical terms, or ambiguous phrasing.	A doctor using medical jargon with a patient who feels lost and confused.
<i>Communication Apprehension</i>	Sender's anxiety or tension about communicating, causing hesitation or poor delivery.	A new manager stumbles and speaks unclearly during a presentation due to nervousness.
<i>Politically Correct Communication</i>	Avoiding words that might insult, but in doing so the message may become vague or lose sincerity.	Over-sanitised language that hides real feedback, leaving employees unsure of what to improve.

6. Enhancing Effective Communication

Strategies to overcome barriers and strengthen clarity:

1. **Encourage Open Communication** → Build a culture where employees feel safe sharing ideas and concerns without fear.
Example: Regular open-door hours where staff can speak freely to senior managers.
2. **Use Clear and Concise Language** → Avoid jargon; use simple, direct words.
Example: Instead of "We need to leverage our core competencies to optimise verticals," say "Let's use our key strengths to improve each department."
3. **Listen Actively** → Give full attention, ask clarifying questions, provide feedback to confirm understanding.
Example: Paraphrase the speaker: "So if I understand correctly, you're suggesting a revised timeline. Is that right?"
4. **Encourage Face-to-Face Communication** → For important or sensitive issues, in-person meetings build trust and reduce misinterpretation.
Example: Delivering a negative performance review in a private, face-to-face discussion rather than a cold email.
5. **Use Different Communication Channels** → Match the medium to the message and audience (email for records, phone for quick clarification, video for remote teams, instant messaging for urgent pings).
6. **Regularly Check for Understanding** → Don't assume the message was received; ask for a summary or a confirmation.
Example: At the end of a briefing, ask: "Can you recap the three key actions you'll take now?"
7. **Encourage Feedback** → Allow employees to give input on the communication process itself; use surveys or informal check-ins to improve.
8. **Provide Training** → Offer workshops on active listening, non-verbal cues, writing skills, and giving/receiving feedback to sharpen everyone's communication toolkit.

Practice Questions

1. Define communication. Explain the barriers of effective communication. **(Exam years / Model, 5 marks)**
2. What is communication? Write about organizational barriers in communication? **(2078, 5 marks)**
3. Explain the interpersonal and nonverbal communication. **(2079, 5 marks)**
4. Mention about formal and informal communication. **(2080, 5 marks)**
5. State and explain barriers of effective communication. **(2082, 5 marks)**
6. What is communication? Write about organizational barriers in is communication?

Chapter 10: Control and Quality Management

1. Concept of Control System

- *Controlling* → The process of evaluating and correcting performance to ensure that actual activities match planned activities, and organizational objectives are accomplished.
 - It is a *systematic effort* by managers to keep everything on track.
 - *Relationship*: Planning sets the direction; controlling ensures you stay on course.
-

2. Process of Control

Four sequential steps form the control cycle.

1. Setting Standards

- Standards are reference points against which actual performance is measured.
- Derived from planning; should be stated in definite, measurable terms.
- *Examples*: cost per unit, sales volume, production units per hour, customer satisfaction score, defect rate.

2. Measuring Actual Performance

- Gather data on individual and group activities.
- Methods: personal observation, written/oral reports, automated tracking systems.
- *Example*: A supervisor counts units produced per shift; an online dashboard tracks daily website sales.

3. Comparing Actual Performance Against Standards

- Determine the degree of deviation (if any) between standard and actual.
- Identify whether the deviation is acceptable or needs attention.
- *Example*: Standard = 100 units/day; Actual = 85 units/day → deviation of -15% triggers investigation.

4. Taking Corrective Actions

- If significant deviation exists, take remedial measures to bring performance back to standard.
- Actions may include: changing methods, retraining, adjusting resources, revising the standard (if it was unrealistic), or improving supervision.
- *Example*: After finding low output, the manager replaces a faulty machine and provides additional training, restoring production to standard.

Note: The cycle is continuous. After corrective action, performance is re-measured, and the loop repeats.

3. Types of Control Systems

Classified by the timing of intervention relative to the work activity.

A. Feed-forward Control (Preliminary / Preventive)

- Focus: *Before* the activity begins.
- Aims to identify and prevent deviations *in advance*.
- Targets inputs: human, material, financial resources.
- *Example*: A company uses skill tests and background checks when hiring to ensure new employees can meet performance standards. A restaurant pre-inspects vegetable quality before cooking.

B. Concurrent Control (Steering / Real-time)

- Focus: *During* the activity.
- Monitors ongoing operations to ensure they conform to standards.
- Relies on performance rules, direct supervision, and real-time measurements.
- *Example*: A manufacturing line has sensors that measure product dimensions as items are made; an operator adjusts the machine immediately if a drift is detected. A chef tastes the sauce while cooking.

C. Feedback Control (Post-action / Output)

- Focus: *After* the activity is completed.
- Reviews final results to see if standards were met; provides information for future planning.
- *Example*: Monthly profit analysis: if target was +12% profit but only +3% is achieved after three months, management investigates causes and adjusts future plans. A final exam score used to decide whether a student passes.

Analogy: Feed-forward = checking the car's oil and fuel before a trip; Concurrent = watching the speedometer while driving; Feedback = checking the trip distance and fuel economy after arriving.

4. Characteristics of an Effective Control System

1. *Integrated with Planning* → Controls must be embedded in the planning process. Anticipated problems should have corresponding control measures.
Example: A budget (plan) has monthly spending limits (control).
 2. *Suitable* → The control system must fit the organization's needs, size, culture, and activity. Over-control wastes resources; under-control invites chaos.
 3. *Accurate* → Information provided must be reliable and precise. Inaccurate data leads to wrong decisions.
Example: A faulty sales report showing high figures when actual sales are low will prevent needed corrective action.
 4. *Timely* → Information must reach the decision-maker quickly enough to allow action. A report about last month's defect rate arriving six months late is useless.
 5. *Flexible* → The system should adapt to changed conditions, new strategies, or unexpected events.
 6. *Economical* → The cost of control should not exceed its benefits. A complex control system for a tiny task wastes resources.
 7. *Simple and Understandable* → Users must comprehend the control measures and data. Complicated systems create confusion.
 8. *Focus on Strategic Points* → Controls should concentrate on key performance areas (critical success factors) rather than every minute detail.
-

5. Quality Control Systems - Concept of Quality

- *Quality* → The totality of features and characteristics of a product or service that bear on its ability to satisfy stated or implied needs.
- In modern management, quality is defined by the *customer*: fitness for use, conformance to requirements, and exceeding expectations.
- *Quality Control* → The operational techniques and activities used to fulfill requirements for quality. It involves monitoring processes, inspecting outputs, and eliminating causes of unsatisfactory performance.

Evolution: From merely inspecting finished products (sorting good from bad) to building quality into every process (prevention over detection).

6. Total Quality Management (TQM) - Concept and Tools

6.1 Concept of TQM

- *TQM* → A comprehensive, organization-wide philosophy of continuously improving the quality of products, services, and processes by focusing on customer satisfaction and involving all employees.
- *Core principles:*
 - *Customer focus:* The customer defines quality.
 - *Continuous improvement (Kaizen):* Never-ending incremental improvements in every area.
 - *Employee involvement:* All levels participate in problem-solving and quality initiatives.
 - *Process-centred:* Quality is achieved by improving processes, not just inspecting outputs.
 - *Fact-based decision making:* Data and statistical methods guide decisions.

6.2 Common TQM Tools

These are the "7 Basic Tools of Quality" often associated with TQM.

1. *Check Sheets* → Structured forms for collecting and organizing data in real time.
Example: A daily tally of defect types on a production line.
2. *Flowcharts / Process Maps* → Visual representation of a process, showing steps and decision points. Helps identify bottlenecks and waste.
3. *Cause-and-Effect Diagram (Ishikawa / Fishbone)* → Identifies root causes of a problem by categorizing potential factors (e.g., Man, Machine, Method, Material, Measurement, Environment).
Example: Brainstorming why late deliveries occur, mapping causes on the fishbone.
4. *Pareto Chart* → A bar graph ordered by frequency; based on the 80/20 rule (80% of problems come from 20% of causes).
Example: 80% of customer complaints stem from just two defect types; prioritize fixing those.
5. *Histogram* → A bar chart showing the frequency distribution of a dataset. Reveals variation patterns.
Example: Distribution of delivery times; is the process centred on the target?
6. *Scatter Diagram* → Plots two variables to see if they are correlated.
Example: Plotting training hours vs. product defects to see if more training reduces defects.

7. *Control Charts* → A run chart with upper and lower control limits; monitors process stability over time and distinguishes between common cause and special cause variation.

Example: Monitoring the diameter of machined parts; a point outside the limit signals a process needing adjustment.

7. Deming Management - Principles and Techniques

W. Edwards Deming was a pivotal figure in quality management, especially known for his work in Japan post-WWII and his 14 Points for Management. His philosophy emphasizes profound knowledge, statistical thinking, and transformation of management.

7.1 Deming's 14 Principles (Summarized)

1. *Create constancy of purpose* → Aim for long-term improvement, not short-term profit.
2. *Adopt the new philosophy* → Refuse to accept common levels of delay, error, and defective work.
3. *Cease dependence on mass inspection* → Build quality into the process; inspection is too late and costly.
4. *End the practice of awarding business on price tag alone* → Build long-term relationships with fewer, quality-focused suppliers.
5. *Improve constantly and forever* → Continuously improve the system of production and service.
6. *Institute training on the job* → All employees, including management, must be properly trained.
7. *Institute leadership* → Supervision should help people do a better job, not just judge them.
8. *Drive out fear* → Create a safe environment where employees can ask questions and report problems.
9. *Break down barriers between departments* → Teamwork across functions (R&D, design, sales, production).
10. *Eliminate slogans and exhortations* → Remove arbitrary targets and posters asking for zero defects without providing methods.
11. *Eliminate numerical quotas* → Quotas focus on quantity over quality; replace with intelligent leadership.
12. *Remove barriers to pride of workmanship* → Allow people to feel pride in their work; remove annual rating systems that demotivate.
13. *Institute a vigorous program of education and self-improvement* → Continuous learning for everyone.
14. *Take action to accomplish the transformation* → Top management must lead the change.

7.2 Deming's Key Techniques / Philosophy

- *PDCA Cycle (Plan-Do-Check-Act)*: Also called the Deming Cycle or Shewhart Cycle.
 - *Plan*: Identify a problem, define a hypothesis, design an experiment.
 - *Do*: Implement the change on a small scale.
 - *Check*: Evaluate the results, analyze data.
 - *Act*: If successful, standardize the change; if not, repeat the cycle.

Example: A restaurant wants to reduce customer wait time. Plan: test a new table layout. Do: try it for one week. Check: measure average wait time vs. before. Act: if reduced, implement permanently; if not, revise the layout and try again.
- *Profound Knowledge System*: Deming's holistic framework comprising appreciation for a system, knowledge of variation, theory of knowledge, and psychology. It emphasizes that management must understand the interdependence of all parts and use data, not gut-feeling, to drive decisions.
- *Focus on Reducing Variation*: Deming highlighted that uncontrolled variation is the enemy of quality. Statistical methods (control charts) are essential to identify special causes vs. common causes of variation, so management can act appropriately (fix the system, not blame people).

Practice Questions

1. Explain the characteristics of effective control system. **(Exam years, 5 marks)**
2. Describe the different types of control system. **(2080, 5 marks)**
3. List and explain the process of the control system. **(2081, 5 marks)**
4. Explain the basic steps in the control process. **(Model, 5 marks)**
5. What is total quality management? Explain the tools of TQM. **(Model, 5 marks)**
6. State and explain the emerging challenges faced by managers while managing organizations.

Chapter 11: Global Context of Management

1. Concept of Globalization

- *Globalization* → The integration of economies and societies worldwide through technological, economic, political, and cultural exchanges.
- Made possible by advances in *communication, transportation, and infrastructure*.
- Essentially, it is the growing international interaction of markets for *goods, services, and capital*.

Understanding → Globalization turns the world into a "global village." A product designed in one country can be manufactured in another using materials from a third, and sold everywhere. A manager today must think globally, not just locally.

2. Methods of Globalization

Organisations use various entry strategies to expand internationally.

1. Exporting

- Selling products produced in the home country to another country.
- Simplest and most common method of entering foreign markets.
- *Example:* A Nepali handicraft firm ships pashmina shawls to buyers in Europe.

2. Joint Ventures

- A jointly owned firm created by a foreign and a domestic company, combining resources and expertise to develop new products or technologies.
- Establishes a long-term partnership while sharing risk.
- *Example:* A Japanese electronics company partners with a local firm in India to manufacture and sell smartphones under a new joint brand.

3. Franchising

- A company (franchisor) grants rights to another (franchisee) to use its brand name, products, and business model.
- Franchisor provides marketing, brand, and HR support; franchisee invests local capital and operates the outlet.
- *Example:* McDonald's, Coca-Cola, Pepsi granting franchise rights to local entrepreneurs worldwide.

4. Licensing

- A company gives another firm the right to manufacture a patented product in exchange for royalty or fees.
- Typically used when a company owns unique technology but lacks resources to enter foreign markets directly.
- *Example:* A pharmaceutical company licenses its patented drug formula to a foreign manufacturer to produce and sell in that region.

5. Strategic Alliances

- Two firms form an alliance to gain market advantage without creating a separate legal entity or joint management of assets.
- They can be easily dissolved.
- *Example:* An airline alliance (e.g., Star Alliance) where member airlines coordinate schedules and share codes but remain independent companies.

6. Subcontracting (Outsourcing)

- Contracting out certain production functions or processes to another firm, usually to gain cost advantages, better quality, or both.
 - *Example:* A sportswear brand designs shoes but subcontracts the actual manufacturing to a specialized factory in Vietnam.
-

3. Effects of Globalization

A. Positive Effects

- *Creation of demand for goods and services* → Global markets expand customer base.
- *Parallel growth of economy* → Trade boosts GDP, incomes, and living standards in participating nations.
- *Transfer of technology* → New technologies flow to developing countries, improving productivity.
- *Employment opportunities* → Foreign investment and export industries create jobs.
- *Recognition* → Local brands get global visibility and reputation.
- *Economic advantages* → Access to cheaper raw materials, larger talent pools, and diversified revenue.

B. Negative Effects

- *Exploitation of resources* → Multinationals may over-extract natural resources without adequate compensation or sustainability.
- *High price for necessary goods* → Sometimes, global demand drives up local prices of essential commodities.
- *Maximum advantages go to rich countries* → Wealthier nations and large corporations often capture the lion's share of benefits.
- *Threat to indigenous industries* → Small local businesses may be unable to compete with giant global players, leading to closures.

Example: While a global coffee chain entering a new country creates jobs and transfers barista skills, it may also drive local coffee shops out of business and pressure farmers to sell at global commodity prices.

4. Multinational Companies (MNCs)

4.1 Meaning

- *Multinational Company (MNC)* → A company engaged in producing and selling goods or services in *more than one country*.
- Operates worldwide through subsidiaries, affiliates, or branches.
- Typically headquartered in one country (home) and operates in several host countries.

4.2 Types of MNCs

1. Raw Material Seekers

- Look for the best and cheapest raw materials from local suppliers abroad, process them locally or ship them home for production.
- *Example:* British Petroleum (oil), Anaconda Copper (mining) — extract resources globally to supply home operations.

2. Market Seekers

- Enter foreign markets primarily to sell products and services; look for large or growing customer bases overseas.
- *Example:* IBM, Unilever — set up operations in many countries to reach consumers directly.

3. Cost Minimizers (Efficiency Seekers)

- Move production to countries with lower labor, material, or regulatory costs to gain competitive pricing.
- *Example:* Nike and Apple design products in the home country but outsource or set up manufacturing in countries with lower production costs.

4.3 Advantages of MNCs

- *Brings capital and investment* to host countries → stimulates economic growth.
- *Creates employment* and often provides better wages and training than local firms.
- *Transfer of technology and skills* → local workforce learns modern methods.
- *Increases competition* → forces local firms to improve quality and efficiency.
- *Wider choice for consumers* → greater variety of products at competitive prices.

4.4 Disadvantages of MNCs

- *Profit repatriation* → earnings are sent back to the home country, limiting local reinvestment.
- *Exploitation of cheap labor and resources* → may pay low wages, ignore safety, or deplete natural resources.
- *Dominance of local market* → can drive small local competitors out of business.
- *Cultural erosion* → global brands may overshadow local culture and traditions.
- *Political influence* → large MNCs may unduly influence government policies in host countries to favor their interests.

Practice Questions

1. Define globalization. Explain the effects of globalization in Nepal. **(2079, 10 marks | 2078, 5 marks)**
2. Discuss the disadvantages of multinational companies. **(2079, 5 marks)**
3. Write any four negative effects of globalization. **(2080, 5 marks)**
4. What do you mean by globalization? Explain the methods of globalization. **(2081, 10 marks)**
5. Mention the advantages of Multinational Company **(2081, 5 marks)**
6. Mention the positive effects of globalization. **(2082, 5 marks)**
7. Define globalization. Explain the methods of globalization. **(Model, 5 marks)**
8. Write why modern organizations are involved in outsourcing.
9. Describe the human relations theory of management

Chapter 12: Management Trends and Scenario in Nepal

1. Growth of Business Sector in Nepal

- *Recent Drivers* → Increased foreign investment, improved infrastructure, and government initiatives for economic development.
 - *Leading Sectors* → Tourism, construction, and service industries have been the main growth engines.
 - *Stagnant Sector* → Agriculture, though the mainstay of the economy, remains relatively stagnant.
 - *Uneven Growth* → Growth has not been uniform across all sectors and regions.
 - *Persistent Challenges* → Political instability, bureaucracy, and lack of access to financing continue to hinder the business environment.
-

2. Major Industries in Nepal

Four broad industrial categories:

A. Manufacturing Sector

- Includes textiles, cement, food processing.
- Relatively small contribution to GDP.
- *Example:* Cement factories supplying domestic construction; food processing units making noodles and biscuits.

B. Export-Oriented Sector

- Generates significant foreign exchange.
- Includes tourism, handicrafts, and agricultural products (cardamom, ginger, lentils).
- *Example:* Hand-knotted carpets and pashmina shawls exported to Europe and North America.

C. Import-Substitution Sector

- Produces goods previously imported, aiming to reduce trade deficit.
- Includes pharmaceuticals, consumer goods (soap, plastics).
- *Example:* A local pharmaceutical company manufacturing generic medicines that Nepal used to import from India.

D. Service Sector

- Largest contributor to Nepal's GDP; growing rapidly.
 - Encompasses finance, transportation, telecommunications, IT, hospitality.
 - *Example:* Expansion of mobile banking and remittance services; airlines and hotels serving tourists.
-

3. Existing Management Practices and Business Culture

A. Planning and Decision-making

- *Highly centralised* → Top-level management makes most decisions.
- Middle and lower-level managers depend on orders from above; limited autonomy.
- *Result:* Slow response, low initiative at lower levels.

B. Authority Delegation and Responsibility

- *Bureaucratic structure* → Authority delegated at the will and influence of top managers rather than based on goal achievement.
- Responsibility often not matched with adequate authority.

C. Problems in Integration

- Plans, policies, and programmes not properly linked with organisational goals.
- Mismatch between people, jobs, and departmental needs.

D. Organisational Culture

- *Rigid and traditional* shared values and beliefs.
- Employees tend to resist change and development.

E. Business Culture

- Majority of private businesses are *family-owned*.
- Decision-making prioritises family interests over professional management principles.
- *Example:* Key positions filled by family members regardless of qualification.

F. Working Environment

- Over-influence of politics and unnecessary interference by political parties.
- Nepotism and favouritism prevail at every level.
- Lack of discipline → declining productivity.

G. Lack of Managerial Skills

- Managers weak in leadership capabilities.
- Employees lack communication and interpersonal skills.
- Workers often lack vocational knowledge.
- **Result:** Persistent organisational problems and inefficiency.

4. Major Problems of Businesses in Nepal

Note: The following list is synthesised from the challenges discussed throughout the chapter.

- **Political Instability** → Frequent government changes, strikes (*bandhs*), policy inconsistency create an unpredictable environment.
Example: A factory cannot plan long-term because labour regulations may change after the next election.
- **Excessive Bureaucracy** → Complex administrative procedures delay approvals, licences, and investment decisions.
- **Lack of Access to Financing** → High interest rates, collateral demands, and limited venture capital restrict business expansion.
- **Inadequate Infrastructure** → Unreliable electricity (though improving), poor road connectivity, and insufficient industrial zones raise operational costs.
- **Rigid and Centralised Management** → Top-heavy decision-making stifles innovation and quick adaptation.
- **Family-Owned Business Culture** → Professionalism is secondary to family interests; merit-based appointments are rare.
- **Political Interference & Nepotism** → Appointments and promotions influenced by personal connections rather than competence; erodes discipline and productivity.
- **Skill Gaps** → Shortage of technically trained managers and workers; weak leadership and interpersonal skills.
- **Labour Unrest** → Frequent disputes, union-driven disruptions without a constructive resolution framework.
- **Resistance to Change** → Rigid organisational cultures make adoption of new technology, processes, and global best practices slow.
- **Limited R&D and Innovation** → Firms often compete on low-cost labour rather than technological advancement or product differentiation.

Outlook → Despite these challenges, the service sector boom, remittance-fuelled demand, and a young workforce offer hope. Addressing these structural problems through policy stability, infrastructure investment, professional management education, and reduced political meddling is essential for Nepal's business growth.

Practice Questions

1. Explain the service sector industries in Nepal. **(2079, 5 marks)**
2. Write the existing management practices and business culture in Nepal. **(2079, 5 marks)**
3. State and explain the major problems facing business in Nepal. **(2080, 10 marks)**
4. Explain the service sector industries of Nepal. **(2080, 5 marks)**
5. Explain the major obstacles faced by the business sector in Nepal **(2081, 5 marks)**
6. Explain the export oriented industries of Nepal. **(2082, 5 marks)**
7. Explain the major problems of business in Nepal. **(Model, 5 marks)**